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Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573
Docket No. 23-02
BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

RESPONDENTS' ANSWERING BRIEF TO COMPLAINANT'S BRIEF

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”), by and through their undersigned counsel, respectfully submit this answering brief (“Answering Brief”) to the amended opening brief (“Complainant’s Brief”) of Complainant Bed Bath & Beyond Inc. (“Complainant” or “BBBY”).

PRELIMINARY STATEMENT

BBBY’s Complaint consists of two general categories: (1) complaints about service and prices under its service contracts, and (2) complaints about the charges it incurred for demurrage and detention. Both claims, made by the now-bankrupt successor to the once-storied retailer BBBY (now known as “20230930-DK-Butterfly-1, Inc.”), are cynical attempts to rewrite the authority Congress granted to the FMC so that BBBY may squeeze its former service providers for cash. None of BBBY’s claims, however, has any legal merit, because the Commission has no authority to adjudicate these claims; nor do any of the claims have factual merit, because OOCL neither breached its contractual obligations to BBBY nor acted unreasonably.

The Complaint is Legally Flawed

The Shipping Act, as constituted since the Ocean Shipping Reform Act of 1998 (Pub. L. No. 105-258) (“OSRA 1998”), provides the Commission with only narrow and specifically

delineated powers regarding ocean carriers' individually negotiated service contracts. BBY's ambitiously hopeful new "interpretations" of sections 41102(c) and 41104(a)(2)&(10), while clever, substantially exceed the scope of those statutes. Accordingly, the FMC lacks the authority to afford BBY the relief it seeks thereunder, especially in view of the Supreme Court's recent jurisprudence curtailing the expansion of administrative agency powers.

The Commission can neither conjure authority it never had nor resurrect authority it only had over other types of regulated entities. In 1984, Congress enacted the Shipping Act of 1984 (P.L. No. 98-237), which stripped the FMC of its former authority (under the Shipping Act, 1916 (P.L. No. 64-260), to prohibit rates it found "unjust or unreasonable". And in 1998, Congress explicitly decided to de-regulate one-on-one dealmaking between ocean common carriers and their shipper customers, specifically reducing the authority to regulate service contracting to three narrow prohibitions, none of which is at issue here: (1) status-based discrimination against ocean transportation intermediaries; (2) unjust discrimination against ports; and (3) undue prejudice regarding ports. As a result of these congressional decisions to remove Commission power over rates and service contracts, the Shipping Act, as effective at all times relevant to this dispute, contains no provision that would allow BBY to construct a claim of unreasonable practices the terms or performance of its service contracts with OOCL.

In any event, 46 U.S.C. § 40502(f) denies the Commission jurisdiction to adjudicate BBY's claims for alleged freight, demurrage and detention overcharges, and for OOCL's alleged failure to honor its service contract obligations. Under the Supreme Court's major-questions doctrine, the FMC cannot adjudicate such claims unless there is "clear congressional authorization" for it to do so. No such clear congressional authorization exists. Quite to the

contrary, Congress deliberately chose not to confer on the Commission any authority over profits or prices in the U.S.-foreign trades.

Similarly, BBY alleges a violation of 46 U.S.C. § 41104(a)(2), (APP-44-46, 83; Ex. 1 (the “Amended Complaint”) at ¶¶ 24, 29, 164-65), which requires carriers to conduct themselves in compliance with applicable service contracts. But the Commission has held (although ALJs have recently ignored) that claims under Section 41104(a)(2) are expressly removed from FMC jurisdiction by 46 U.S.C. § 40502(f), so may not be adjudicated before the Commission.¹

BBY also claims that the quantum of OOCL’s surcharges and freight rates and its alleged failure to meet its service commitments violated 46 U.S.C. § 41102(c) (APP-44-45, 82-83; Amended Complaint at ¶¶ 23, 26, 28, 160-63). But that section applies by its terms only to disputes “relating to or connected with receiving, handling, storing, or delivering property.” BBY’s allegations under 46 U.S.C. § 41102(c), however, do not involve “receiving, handling, storing, or delivering property,” as that term has always been defined by the Commission. Rather, its claim that OOCL failed to provide all of the space to which BBY was allegedly entitled under the Service Contract involves what the Commission has uniformly found to be is a “transportation” function, which does not constitute “receiving, handling, storing, or delivering property.”

BBY’s reliance upon Section 41104(a)(10) (APP-45-46, 84; Amended Complaint at ¶¶ 25, 27, 30, 168-69), is similarly misplaced. BBY alleges that OOCL unreasonably refused to deal or negotiate with it by “systematically failing to meet its service commitments to Complainant, failing to provide contracted space to Complainant without PSS or premium rates, and [engaging in] the acts or omissions of Respondent that led to the assessment of the Charges.” Under this

¹ Thus, in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000), the Commission has held that claims under § 41104(a)(2) “are premised on the obligation to meet one’s contract commitments and are therefore essentially breach of contract actions” not properly before the Commission.

Section, BBY is required to prove that OOCL “shut out” BBY “for reasons having no relation to legitimate transportation-related factors.” Nothing in the Act – either before or after 1998 – guarantees a shipper any right to enter into a contract, much less a contract with any specific terms.

BBY complains that OOCL refused to lower freight rates as the market fell in the fall of 2022. But nothing in the Shipping Act requires an ocean common carrier to reduce rates based on the market. Moreover, OOCL’s Financial Control Team issued a warning on April 11, 2022 that BBY’s failure (bankruptcy) score and delinquency score were high risk; at the time, BBY owed OOCL \$1,846,582. RPF 474. In August 2022, OOCL’s Financial Control Team warned its sales force that BBY represented a solvency risk and restricted business to cash terms, no credit. RPF 481. Though OOCL reduced BBY’s once (in October 2022), it also made a prescient decision not to further reduce BBY’s already comparatively low contract rates. BBY soon filed for bankruptcy (in spring 2023). Because of OOCL’s prudent business decisions to meet but not exceed contractual commitments and to limit the credit it extended to BBY, OOCL was not among the dozens of creditors forced to file claims in BBY’s bankruptcy.

Finally, BBY asserts a claim for retaliation against OOCL under § 41102(d). APP-46, 83; Amended Complaint at ¶¶ 31, 166-67. That claim is legally deficient because it is not predicated upon any protected act taken by BBY. BBY sent two letters to OOCL: one on October 18, 2021, complaining about demurrage and detention charges; and a second on February 9, 2022, renewing the foregoing complaint and adding one relating to OOCL’s alleged failure to meet its Minimum Quantity Commitment (“MQC”) obligations. Nothing in those letters suggested any threat or intention to file a claim against OOCL with the FMC, and indeed their signatory testified that the letters were not intended to raise any such threat. Because there was no protected

act of a threatened action at the FMC, *a fortiori* there can be no claim of retaliation. letters to be threats of filing a claim against OOCL with the FMC.

The Complaint is Factually Flawed

BBBY's claims against OOCL are also bereft of factual merit. They are not supported by reliable data and are directly disproven by the written contracts. Specifically, the record shows that BBBY signed contractual amendments in each of the relevant service contract years reducing the contract MQC to the amount actually shipped. RPFF 176-78, 402, 427, 649-50. These "drawdown amendments" undeniably show that OOCL carried the containers it was contractually obligated to carry.

Moreover, even without considering the drawdown amendments, the record evidence irrefutably demonstrates that OOCL provided BBBY with the space required under the service contracts, while BBBY failed to tender the agreed number of shipments. Specifically, as to the 2020 and 2021 service contract years, OOCL provided 104.4% of the container volume it originally (i.e., before the agreed drawdown) promised to deliver in the 2020 service contract year (RPFF 323, 346, 485.A.iii, 599, 759-57, 594-95), and 94% thereof in the 2021 service contract year (RPFF 422, 485.C.iii, 594-95, 600). BBBY's shortfall analysis is bogus. RPFF 550 to 575. By contrast, BBBY only delivered 58.5% of the loaded containers it was obligated to provide in the 2020 service contract year (RPFF 485.A.iii, 594-95, 602), and 60% in the 2021 service contract year (RPFF 422, 485.C.iii, 594-95, 600). This unrefuted analysis also demonstrates that OOCL made no effort to shift cargo from service contract rates to spot market rates.² RPFF 270, 616-17.

Further, the rates charged by OOCL, to which BBBY contractually agreed before any services were performed, were in keeping with the prevailing market at the time (RPFF 48, 183,

² Spot market rates are not tariff rates. RPFF 59.c.

340, 660-62, 782), and no record evidence exists even suggesting that BBY's signatories to the Service Contracts and amendments thereto were under any duress when they signed any such contract or amendment. (RPFF 353-54, 360-66, 389-69, 373-75, 393-405, 432, 634, 644, 687).

Despite Commission/D.C. Circuit precedent requiring BBY to prove that it was unable to pick up or return a container with respect to each challenged shipment on each specific day as to which BBY was assessed demurrage or detention ("DD") charges. BBY never even attempted to make any such showing. By contrast, OOCL, although under no burden to show anything, demonstrated that the relevant marine terminals were open on each occasion that charges were assessed and issued daily broadcasts of that information along with terminal requirements for pickup of loaded containers and return of empty containers in the Southern California area. Appointments for pickup or redelivery of containers were not required in other parts of the United States. OOCL had a DD Team standing by to assist customers with any questions, complaints or concerns. RPFF 486-95.

During the two shipping years at issue, BBY submitted two complaints to OOCL's DD Team, and in each case the DD Team resolved the issue. RPFF 501. Otherwise, for the thousand plus other containers about which BBY concocted post-contract complaints, no contemporaneous evidence exists supporting a conclusion that BBY or its drayage carriers failed to pick up or redeliver the containers because of: terminal congestion; lack of appointments; dual exchange requirements; lack of chassis; lack of trucks or drivers; lack of rail cars or service; or because containers were buried in container stacks at a marine terminal. RPFF 496, 499, 500. Nor did submit evidence to OOCL showing why the charges were unreasonable because they did not incentivize BBY's prompt action and did not thereby promote freight fluidity. *Id.* RPFF 496-98. In other words, no data exists to support BBY's claim the DD charges were unreasonable, which

requires an *ad hoc* fact-specific inquiry as expressed by the D.C. Circuit and the Commission's remand order in *TCW* RPFF 499-502.

BBBY's retaliation claim is factually deficient because there is no evidence that OOCL engaged in retaliation against BBBY. RPFF 675-80. BBBY claims that OOCL retaliated by charging BBBY higher rates entering the 2022 service contract negotiating period, and by refusing to reduce its freight rates in the Fall of 2022. Firstly, there is no prohibited discrimination (and thus can be no retaliation) in charging different shippers different rates. RPFF 670-74. Secondly, a valid business reason existed not to reduce BBBY's rates any further than OOCL did (OOCL dropped BBBY's rates in October 2022) because BBBY's obvious (to OOCL at least) insolvency risk fully justified OOCL's decision not to increase its exposure to BBBY's financial woes. RPFF 681-97.

Even if BBBY had presented adequate evidence on its substantive claims—which it did not—BBBY's assertions of lost profits per container are fundamentally flawed because there is no evidence, much less proof, of the containers that BBBY alleges OOCL declined to book or what happened to those containers thereafter. RPFF 556-62. Instead of presenting reliable evidence, BBBY fabricated substitute sets of containers (which its liability expert knew nothing about and could not authenticate) that were allegedly transported through non-vessel operating common carriers ("NVOCCs"). Such containers do not correlate to any of the containers that OOCL allegedly declined to carry. RPFF 563-75. Further, BBBY presented no proof of the actual cargo to be carried in these allegedly declined containers, nor any evidence regarding the purchase prices of the goods allegedly to be carried therein or their sales price.

BBBY's purported liability expert, John McCown, whose testimony should be stricken as irrelevant and unreliable, did not calculate or in any way evaluate the amount of container space

that OOCL provided (OOCL's witnesses and experts, on the other hand, did); nor did Mr. McCown evaluate whether BBBY's delays for which it was charged DD resulted from circumstances beyond the control of BBBY or its trucker. He undertook no analysis of the space allocated to BBBY by OOCL; instead relying solely upon the representations of BBBY's counsel as to the alleged space "shortfall," which constitutes impermissible counsel "testimony." Indeed, Mr. McCown did not identify a single container tendered by BBBY and not carried by OOCL. Further, Mr. McCown improperly relied upon two sets of containers carried by NVOCCs, none of which correlate to any of the containers that OOCL allegedly refused to carry, as justification for his otherwise unsupported opinions regarding the quantum of damages purportedly suffered by BBBY. Additionally, Mr. McCown undertook no analysis as to the reasons why BBBY did not timely pick up loaded or return empty containers, so could not say whether, for any particular container, BBBY's delays were justified by circumstances beyond BBBY's control. RPF 499.

Procedurally, OOCL objects to the Presiding Officer's failure to conduct a trial in this case, as provided for by the FMC's regulations, which constitutes a denial of due process and makes it impossible for the Presiding Officer to assess witness credibility. Lastly, OOCL objects that the ALJ does not possess the constitutional authority to adjudicate this proceeding following the Fifth Circuit's decision in *Jarkesy v. Securities and Exchange Commission*, 34 F.4th 446, 463 (5th Cir. 2022), affirmed on other grounds, 603 U.S. 109 (2024); *see also ABM Industry Groups, LLC v. U.S. Department of Labor*, -- F.Supp.3d --, 2024 WL 4642962, *4-7 (S.D. Tex. Oct. 30, 2024).³

PROCEDURAL HISTORY

I. The FMC Action

A. The Complaint and Amended Complaint

On April 21, 2023, Complainant filed a Verified Complaint (“Complaint”) with the FMC pursuant to 46 U.S.C. § 41301 seeking at least \$31.7 million in damages for purported injuries to Complainant assertedly caused by Respondents’ alleged violations of the Shipping Act of 1984.

On April 23, 2023, two days after filing the Complaint against OOCL, Complainant filed for Chapter 11 bankruptcy protection in the United States Bankruptcy Court for the District of New Jersey. *See* RX 765-82 (Docket 23-13359-VFP (the “Bankruptcy Petition”)); RPFF 26. In support of the Bankruptcy Petition, Complainant’s Chief Restructuring Officer and Chief Financial Officer Holly Etlin submitted a Declaration. *See* RX 666-758 (23-13359-VFP at Doc. 10 (the “Etlin Declaration”)); RPFF 24. The Etlin Declaration confirmed Complainant expected “all Sales at the Closing Stores to be completed and the properties vacated by June 30, 2023” and intended to commence a full-scale wind-down of its businesses and liquidation of all its assets. *See* RX 669, 697-98 (Etlin Declaration at ¶¶ 8-9; 81-82). The bankruptcy proceeding remains pending.

On July 8, 2024, BBBY filed a motion for leave to file a First Amended Verified Complaint (the “Amended Complaint”), which the Presiding Officer granted on August 23, 2024. *See* Dkt. Entries 46 and 62.

The Amended Complaint alleges Respondents violated the Shipping Act by: (i) failing to meet the MQCs under the 2020⁴ and 2021⁵ service contracts between the parties (the “Service Contracts”) (*see* APP-38; Amended Complaint at ¶ 5); (ii) assessing demurrage and detention charges for delays outside of Complainant’s control, (*see id.* at ¶ 8); (iii) inducing Complainant to

⁴ The 2020 Service Contract [REDACTED] between Complainant and Respondents was effective as of July 1, 2020, and originally covered the period from July 1, 2020, through June 30, 2021. It was amended on [REDACTED] occasions. [REDACTED]

⁵ The 2021 Service Contract [REDACTED] between Complainant and Respondents was effective as of May 1, 2021, and covered the period from May 1, 2021, through April 30, 2022. It was amended on [REDACTED] occasions. [REDACTED]

enter into premium-rate contracts. (*see id.* at ¶ 9); and (iv) retaliating against BBBY for complaining about OOCL's freight, demurrage and detention charges (*see id.* at ¶ 11).

B. The Answer with Affirmative Defenses

On September 6, 2024, Respondents filed their Answer to the Amended Complaint refuting BBBY's allegations (the "Answer"). *See* Dkt. Entry 64. In the Answer, Respondents denied all allegations and asserted numerous affirmative defenses.

- First - a fulsome explanation why the Amended Complaint fails to state a claim for which relief can be granted;
- Second - FMC lacks subject matter jurisdiction because Complainant alleges a breach or breaches of its service contract with Respondents;
- Third - Commission lacks authority to regulate the reasonableness of cargo-space accommodations, or any refusal thereof;
- Fourth - Complainant did not take reasonable steps to mitigate its damages;⁶
- Fifth - Respondent OOCL (Europe) Limited's area of operations is solely European trade and as a result it was not involved in the services at issue;
- Sixth - Complainant was not engaged in a protected activity that could support a claim for discrimination under the Shipping Act;⁷ and
- Seventh - Complainant was not engaged in a protected activity that could support a claim for retaliation under the Shipping Act.⁸

FACTUAL BACKGROUND

I. The 2020 and 2021 Service Contracts

OOCL and BBBY entered into separate service contracts applicable, respectively, to the 2020 and 2021 shipping years. In those contracts, the parties agreed that, by the end of each Service Contract's term, Complainant would tender cargo and Respondents would provide carriage for, a

⁶ RPFF 5.h, 496, 498, 500, 501. While BBBY's warehouses were full in Southern California during the pandemic, BBBY nevertheless continued to ship containers from Asia to Southern California in far greater numbers than it had before the pandemic. RPFF 37-38, 510, 514.

⁷ BBBY was not "shut out" of future contractual negotiations with Respondents (having signed service contracts with OOCL in 2020, 2021, 2022, and amendments thereto); no evidence exists that OOCL had a secondary objective to stifle outside competition. *See* FMC Statement of the Commission on Retaliation, Docket No. 21-15, Issued December 29, 2021.

⁸ BBBY's Director International Supply Chain Patrick Hackett testified that he did not intend to make a threat of filing a claim to the FMC when he sent his October 18, 2021 letter, and his February 9, 2022 letter included no reference to the FMC. RPFF 670-674

specified MQC of twenty-foot equivalent units (“TEUs”) of cargo. The Service Contract for 2020, contract number PE203297, was amended by mutual agreement 17 times (the “2020 Service Contract”). The Service Contract for 2021, contract number PE213179, was amended by mutual agreement 16 times (the “2021 Service Contract”). Each of the contracts and the thirty-three amendments was signed by Complainant’s authorized representative, after agreement between OOCL and BBY, and filed with the Commission. Most amendments were signed for BBY by Juan Guerrero, who served as Complainant’s supply chain department head, though some were signed by Joe Hartmann, Chief Operating Officer, and Jeff Macak, Chief Supply Chain Officer. There is no evidence in the record that any of Complainant’s signatories signed the amendments by reason of coercion or duress. *See* APP-1939 (Pastor Tr. 40:4-10); APP-1280 (Klosowsky Tr. 176:12-18); APP-1473 (McCown Tr. 147:10-149:6). RPFF 485, 629-44.

II. The Unprecedented Pandemic Disruptions

As the Commission has documented, during the pandemic, vessel operators faced unprecedented challenges from spiking demand, record growth in U.S. imports, global intermodal supply chain delays and congestion, and crew and shoreside COVID restrictions. These factors caused severe and protracted trans-Pacific vessel delays, which removed a significant proportion of functional capacity from the market, and disrupted vessel schedules. RPFF 143, 192. As a result of these disruptions, OOCL lost approximately 4% of its container carrying capacity from 2020 to 2021 and 5% from 2021 to 2022. *See* APP-1498 (McCown Tr. 249:2-8).

III. The Alleged Breaches

In the Amended Complaint, Complainant alleges Respondents violated the Shipping Act by failing to meet contractual service commitments. (*See* Amended Complaint at ¶ 5). Not so. In each of the contract periods, OOCL carried the amount (or more) of the MQC set forth in the applicable Service Contract, as amended with BBY’s express agreement. And even without

considering the Parties' mutual agreement to amend the MQC, OOCL provided 104.4% of the original MQC in 2020-21 and 94 % of the original MQC in 2021-22. [REDACTED]

[REDACTED]

[REDACTED]

Respondents worked hard to meet BBBY's demands under both contracts. Without explanation, Complainant repeatedly failed to manage its own supply chain, exacerbating the bottlenecks faced by other shippers and the difficulty of Respondents to reposition its containers to Asia to serve its customers' unprecedented demand for service. RPFF 99, 621.

BURDEN OF PROOF

Complainant bears the burden to prove its allegations against Respondents, including its contention that the case falls within the Commission's jurisdiction. "In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order." 46 C.F.R. § 502.203. The term "burden of proof" is understood to mean "the burden of persuasion." *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *See Steadman v. SEC*, 450 U.S. 91, 102 (1981).

ARGUMENT

I. Complainant fails to prove Counts I, II, and III – its breach of contract claims

Complainant asserts Counts I, II, and III under 46 U.S.C. §§ 41102(c) and 41104(a)(2). These claims are essentially breach of contract claims and should be treated as such. For the reasons described below, Complainant fails to prove its Counts I, II, and III. Further, for the reasons described below in Section IV, the FMC lacks jurisdiction over such claims and they otherwise fail as a matter of law.

A. **Complainant fails to prove Count I relating to space accommodation under § 41102(c) – OOCL Met its Space Obligation**

BBBY alleges that OOCL failed during the 2020 and 2021 service contract years to provide BBBY with all the container space BBBY was entitled to receive under the 2020 and 2021 Service Contracts.⁹ Importantly, however, BBBY’s Director of International Supply Chain, Patrick Hackett, testified at deposition that BBBY had no evidence of any such shortfalls:

- Q. . . . Did you ever do an analysis to determine whether or not OOCL provided all of the space that it said it was going to provide?
- A. Not to my knowledge.

RPFF 550-59. **No testimony or other evidence** in the record shows that anyone at or on behalf of BBBY (or its booking agent Yusen Logistics) ever calculated how much container space OOCL provided to BBBY during the 2020 and 2021 shipping years. Quite to the contrary, abundant evidence demonstrates that no such calculation was ever undertaken. RPFF 560-61. BBBY has placed **no documents** in the record that calculate or otherwise explain the amount of space OOCL provided to BBBY over the entirety of shipping years 2020 and 2021. Without such evidence, BBBY cannot meet its burden.

In support of its contention that OOCL failed to provide the obligated container space during the 2020 service contract year, BBBY cites on page 14 of the Complainant’s Brief to the following purported evidence in its proposed finding of fact 101:

See 1AC ¶ 35¹⁰ [APP-85]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329

⁹ BBBY’s retaliation claim relating to OOCL’s alleged failure to provide requisite container space during the 2021 shipping year following receipt of Patrick Hackett’s October 18, 2021 letter (*see* Complainant’s Brief at 76) is discussed in Section II below.

¹⁰ With respect to the 2021 service contract year (which ran from May 1, 2021 through April 30, 2022, [REDACTED] see footnote 15 below. The reference to “1AC ¶ 46” therein is also not evidence.

[APP-3358]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

When these references are unpacked, they reveal that BBBY has cited to its own Amended Complaint, the expert report of John McCown, three Excel spreadsheets, and BBBY’s supplemental response to OOCL’s interrogatories. The purported evidence fails to prove BBBY’s allegations. First, the Amended Complaint is not evidence. The citation to Paragraph 35 is therefore irrelevant. Next, BBBY cites to Appendices from McCown’s Expert Report. Troublingly, Mr. McCown did not prepare the Appendices, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBBY (or Yusen) or a booking denial by OOCL. RPF 563-64.¹¹ In his deposition, Mr. McCown testified:

Q. Okay.

So, essentially, you would agree with me that you accepted the proposition that OOCL only provided 1,475.85 FEUs of space during the 2020 service contract year and only 2,432.74 FEUs of space during the 2021 service contract year, that you obtained from reviewing the original Complaint, correct?

A Yes, I agree with that.

Q Do you know where those numbers came from?

A Those numbers came from Bed Bath & Beyond, from their professionals, Mr. Hackett and other folks in their area.

Q Do you know any specific documents that it refers -- that refer to those numbers?

A I mean, in quite a few of the depositions they're referenced, but the — you know, the Complaint was the basis for that.

¹¹ These same reliability problems also apply to McCown’s Appendices B-1 through B-4. RPF 563-64.

RPFF 565. Because Mr. McCown simply parroted the Complaint, without independent investigation, his Appendices are no more relevant, or admissible, than the inadmissible Complaint itself. Neither lends any support to BBY's claims, especially in light of Patrick Hackett's testimony that he was unaware of any analysis done to determine whether OOCL met its space obligations.¹² RPFF 292, 550, 560.

In addition to its own allegations in the Complaint and its unreliable expert witness—whose testimony and report should be stricken as moved—BBY cites to three Excel spreadsheets in support of its contention that OOCL failed to satisfy its space obligations. The first, APP-3357 (Ex. 328, P-0000810432) RPFF 569-70, lists more than 7,000 containers that are not logically connected to OOCL in any way. BBY's former general counsel and current contractor to the trustee for the bankrupt entity David Kastin testified:

Q Well, I mean, the question -- the interrogatory asked to identify all the containers concerning which OOCL refused to carry or denied a booking. This is a spreadsheet that lists in excess of 7,000 containers with no reference to OOCL.

And so I guess the question is which of these containers did Bed Bath, if any -- which of these containers, if any, did Bed Bath attempt to book with OOCL?

A No independent knowledge.

RPFF 570. The lack of authentication and absence of any logical connection to OOCL renders this spreadsheet of no value to the Presiding Officer and lends no support to BBY's claim.¹³

¹² The non-existence of any such analysis is further evidenced by BBY's failure to submit an analysis for the record.

¹³ BBY contracted each year with numerous VOCCs (MSC, ZIM, LEAP, Hyundai, Yang Ming and COSCO) and NVOCCs (DeWell, Expeditors, Apex, CHR, Hecny, OEC) during the 2020–2022-time frame. RPFF 169; RX-003158-3166, APP-3331-3334, RX-003167-3171 (Exs. 155, 265, 269). The containers listed in Ex. 328 involved NVOs Hecny, DeWell, and VOCCs COSCO, Hapag, MSC, Zim, and others, but not OOCL. APP 3357 (Ex. 328).

The second spreadsheet, APP-3358 (Ex. 329, P-0000353819) RPF 571-72, was produced by BBY as purportedly responsive to a discovery request that asked for the containers by container number that OOCL allegedly refused to carry or denied a booking by BBY. However, BBY's former general counsel David Kastin admitted he did not independently verify the information in the spreadsheet and testified:

Q And you would agree with me that none of the headings make reference to booking denials or refusals to carry, correct?

MR. REYNOLDS: Object to form. You can answer.

A Those words are not on the column headings, correct.

Q Okay.

And do you see any text in the spreadsheet that refers to booking denials or refusals to carry?

A Those words are not used in the Excel spreadsheet.

Q Do you know what this spreadsheet is?

A A spreadsheet.

Q Yes. But what is it? What does it reflect?

A A lot of information about carriers and customer numbers and invoice numbers and bills of lading. It's the information under the headings.

Q Do you know who prepared it?

A I do not know what individual prepared it. I assume it came from Huth Reynolds, but I do not know.

...

Q. Okay.

But from your perusal of the document, you cannot identify any containers concerning which OOCL allegedly denied a booking or refused to carry, correct?

MR. REYNOLDS: Object to form.

You can answer.

A Those words are not used on this document.

RPFF 572. David Kastin verified the truth of BBY's discovery response when it produced this document, yet it is evident he had no knowledge of its content. The lack of authentication and absence of any logical connection to OOCL renders this spreadsheet of no value to the Presiding Officer and lends no support to BBY's claim.¹⁴

The third spreadsheet, APP-3359 (Ex. 330, Attachment A to Complainant's Supplemental Interrogatory Responses) RPFF 574, was produced as an attachment to BBY's supplemental responses to OOCL's interrogatories. It is captioned "BBY Shipments with OOCL During the 2020-2021 Service Contract Term on Service Contract Lanes", which relates to freight charges, not allegedly declined bookings. David Kastin testified:

Q Do you know who prepared it?

A I do not know which individual prepared it.

Q Do you know when it was prepared?

A I do not.

Q Do you know the source of the data?

A I do not.

...

Q. Sure.

There's no -- there's no column references to booking date or when or where bookings were made, correct?

A There are no columns with those words on it, correct.

Q All right.

Let's go on to the next tab.

And the same would be true for this tab, which is identified at the

¹⁴ OOCL previously moved to strike the Complaint for lack of a meaningful verification. Although the Presiding Officer denied the motion, we note that the obligation to verify certain documents was imposed by Congress, not the Commission, so it is not within the Commission's authority to water down or ignore what Congress demanded.

bottom, "20 But For," that there is no reference to booking dates or when or where the bookings were made?

A Those words are not used on this page.

Q Okay.

Let's go on to the next tab, which is identified as "20 Damages."

And the same would be true for this tab, correct?

A Correct.

Q And if we go on to the next tab, which is tab "SY 21" -- and we'll scroll over to the right so you can see all of the columns.

And you would agree with me that there's no reference to booking dates or when or where bookings were made, correct?

A Those words are not used on the spreadsheet, correct.

Q And if we go to the next tab, "21 But For," the same would be true for this tab; that there's no reference to booking dates or when or where bookings are made, correct?

A Those words are not used, correct.

Q And then last tab is "21 Damages."

You would agree, again, there's no reference here to booking dates or when or where bookings are made, correct?

A Those words are not used.

Q Sorry. I didn't hear that.

A Those words are not used.

Q Okay.

And it's a fair statement to say that you cannot verify the accuracy of any of the information set forth in this spreadsheet, correct?

MR. REYNOLDS: Object to form. You can answer.

A I have no independent knowledge.

BBBY's final pieces of purported evidence, APP-3345-46 (Ex. 326 at 9, 10), RPFF 568-71, are excerpts from BBBY's supplemental discovery responses, in this case to OOCL's Interrogatory Number 2, which asked: "For every container identified in response to Interrogatory No. 1, identify the date a booking was attempted, where the booking was attempted, by whom, with whom, and the intended load port to destination route." BBBY's supplemental answer (again verified by David Kastin) was: "Subject to and without waiver of the foregoing, Complainant supplements its previous answer to Interrogatory No. 1 by referring Respondents to Appendices A-1 through A-4 and Appendices B-1 through B-4 of the Expert Report of John D. McCown, dated September 17, 2024, and documents bates-stamped P-0000810432 and P-0000353819, produced to Respondents in this action." We have already addressed spreadsheets P-0000810432 and P-0000353819 above, and also Mr. McCown's testimony as it pertained to the appendices to his report. Accordingly, BBBY's circular reference adds nothing. As for David Kastin's knowledge of the Appendices to McCown's Report, he testified that he did not know the source of the data, did not know who compiled it, there are no booking denials or refusals to carry in any of the columns of the spreadsheet, and he has no idea whether any of the shipments referenced in the spreadsheet correlate to when OOCL denied a BBBY booking. RPFF 563-75. Nevertheless, Kastin verified the discovery response above.

BBBY uses a similar smoke and mirrors methodology to support its 2021 shipping year shortfall claim, citing CPFF106. *See* Complainant's Brief at 14-15.¹⁵ If BBBY booked or

¹⁵ BBBY's proposed Finding of Fact 106 reads as follows

106. In the months of October 2021 through March 2022, OOCL provided just 52.9 percent of contracted space to BBBY, if allocated monthly. *See* 1AC ¶ 46 [APP-49]; Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs "SY 21", "21 But For," and "21 Damages") [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-33445-3346]. We have addressed each of these documents above.

attempted to book **thousands of containers** with OOCL that OOCL allegedly declined to carry during shipping years 2020 and 2021, where is the evidence of these declined or attempted bookings? RPFF 567. BBY's shortfall claim is completely bogus. RPFF 550-575.

What the foregoing demonstrates is that BBY performed no analysis of the amount of container space that OOCL actually provided to BBY during shipping years 2020 and 2021. Instead, BBY's purported liability expert Mr. McCown relied on *allegations* of container space shortfalls as described in BBY's Complaint as the entire basis for his opinion that OOCL did not provide the space contracted for under the 2020 and 2021 service contracts. Not only did Mr. McCown rely on allegations instead of facts, but he did not bother to even read the service contracts before opining about OOCL's compliance with same. RPFF 566.

David Katin's specious verifications in support of both BBY's Amended Complaint¹⁶ and its Interrogatory responses are frankly contemptable because they attempt to stamp his imprimatur on suspect data that, as a lawyer, he knows could influence this Tribunal. In truth, these purported shortfall numbers are no more than the difference between BBY's original MQC in those two shipping years and the number of containers actually *carried* by OOCL. What those numbers fail to encompass, however, is the amount of **container space** that OOCL made available to BBY during the course of each shipping year (as was its contractual duty), the number of containers that OOCL carried in excess of its space obligations, or the amount of space made available to BBY that BBY did not utilize. RPFF 764. BBY also fails to identify any bookings that OOCL purportedly declined. Consideration of those additional facts is imperative to

¹⁶ While the Presiding Officer in her order of December 6, 2024, admonished OOCL's counsel for citing to *Computer Network Corp. v. Spohler*, 95 R.F.D. 500, 502 (D.C. Cir. 1982), we would urge reconsideration of that analysis (as a court of appeals will certainly do), as the decision clearly erred by conflating the filing of an unsworn answer with the signing of a sworn verification. The two are distinct.

determining compliance with service contract space commitments, as BBBY's own Paul Pastor agreed that MQC imposes an obligation on the ocean carrier *to provide space* and the shipper *to use that space*. RPFF 51.

By contrast, OOCL carried out a detailed analysis of container space made available to BBBY under the 2020 and 2021 Service Contracts¹⁷ using robust and verifiable data. OOCL's Trans-Pacific Trade General Manager Karen Lam and her Team undertook a detailed analysis to evaluate the amount of space OOCL actually provided to BBBY during the 2020 and 2021 shipping years by service lane. RPFF 576. Not only did Ms. Lam testify about the results of the work performed, but each member of her Team also executed a sworn declaration attesting to the work that each performed in carrying out the analysis. RPFF 577-602, 680.¹⁸

Ms. Lam directed Sharon Wong to work with OOCL's Information Services Department ("ISD") to evaluate OOCL's "space protection" system (known by OOCL as "CSAL" or Customer Space Allocation List) and BBBY's booking and delivery of containers during service contract years 2020-21 and 2021-22. RPFF 579. OOCL's CSAL sets out the amount of space each contract shipper is allocated to receive after conferring with an OOCL sales representative about the shipper's needs on specific lanes and origin ports. Ms. Wong asked ISD's Mickey Wong, Alex Lam and Stanley Cheung to carry out that work. RPFF 580.

¹⁷ Secondary Contracts, PE212602 (effective from January 14, 2021 to May 31, 2021; the "2020 Secondary Contract") and PE212612 (effective from May 30, 2021 to April 30, 2022; the "2021 Secondary Contract"), were also entered between BBBY and OOCL during the relevant shipping years. However, the volume shipped under these Secondary Contracts (sometimes called "premium contracts") was **not** included in OOCL's analysis of space afforded under the Service Contracts.

¹⁸ All of these declarations were provided to BBBY's counsel, yet BBBY failed to disclose any of them to the Tribunal in its Complainant's Brief. Each member of the team possesses the requisite education and training necessary to carry out the work undertaken as detailed in their respective declarations. RPFF 578.

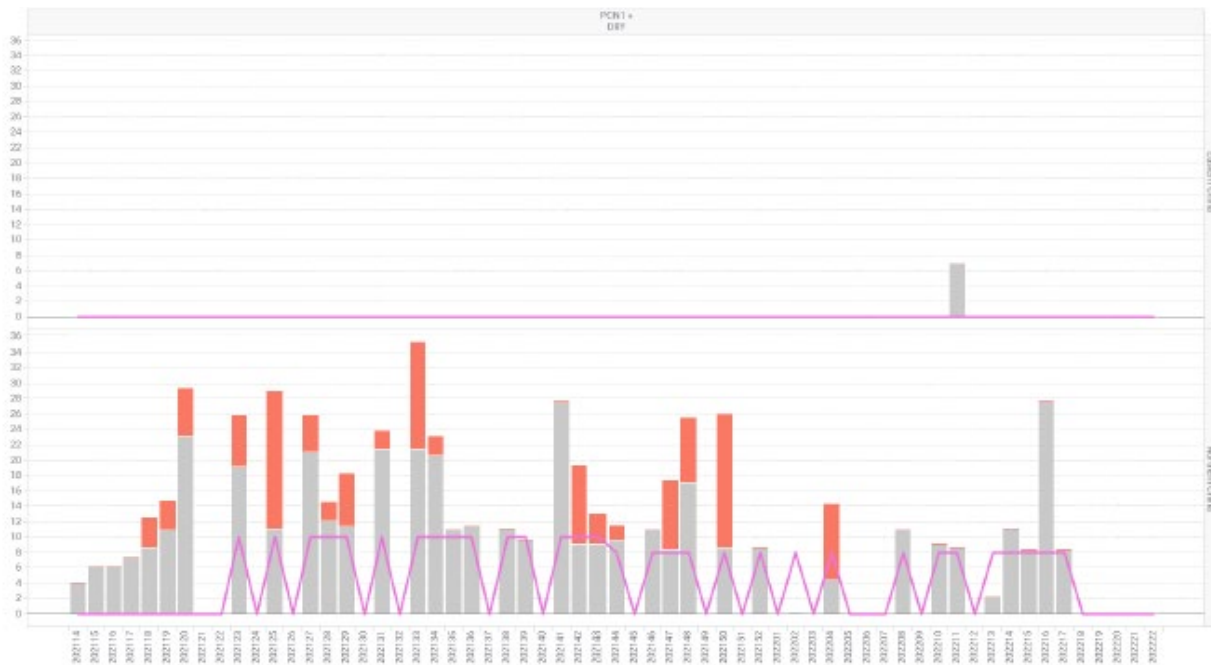
The Team examined OOCL's databases, specifically CSAL, which ensures OOCL's service contract customers are allocated desired weekly space (with allocations for such weeks provided monthly) (RPFF 213, 620), and data reflecting shipments booked and carried. RPFF 581. To generate the CSAL data, OOCL's ISD gathered all user files into a database and used them to generate Spotfire graphs, about which we expound below. RPFF 582. The shipment data was extracted from OOCL's "IRIS-4" database, which is OOCL's Enterprise Resource Planning Platform used by OOCL's business departments and which undergoes an annual external audit.¹⁹ RPFF 583. The ISD Team cross-validated the data collected to confirm that the digital records matched the original records without discrepancies and cross-checked the digitalized CSAL in the database with the original CSAL in the Excel file row by row, as well as conducted a duplicate detection search, missing value check, and summary and detail alignment to ensure the accuracy of the data collected. RPFF 585.

The Team analyzed the data collected and developed the Spotfire graphs that ultimately were marked as Exhibits 66 and 67, verified the accuracy of the information therein, and provided data results to Ms. Wong. RPFF 586. Those graphs provide a summary of the results the Team found when they examined the data. RPFF 587.

Ms. Wong reviewed and evaluated BBBY's booking and shipping data, BBBY's CSAL, and BBBY's service contracts. RPFF 588. She asked the Team to help draw and summarize the data. RPFF 589. She also double-checked the data prepared by the Team and used the data to prepare the slides marked as Exhibit 39. RPFF 590.

¹⁹ IRIS-4 is OOCL's Integrated Regional Information System used "for bookings, to capture bookings, to track bookings, to track operations-related items ... So, globally, any OOCL office has access to IRIS, and they can see where bookings are, what bookings are being completed, confirmed, deleted, pending; all that information." APP-1593 (Metzger Tr. 14:18-15:9). Indeed, BBBY's Expert McCown recognizes OOCL as an industry leader in customer service and space management systems. John C. McCown, *Giants of the Sea* at 1.

The Spotfire graphs show the container space allocations provided by OOCL to BBY for each service loop during the 2020 and 2021 service contract years, the amount of space used and unused by BBY, and the amount of space that OOCL provided to BBY beyond its allocations. RPF 591. An example follows for the PCN1 DRY Service Loop (meaning Northern and Eastern China to the United States for the carriage of dry cargo) for the 2021-2022 shipping year:



The lower pink line is OOCL's CSAL (space allocation agreed to between OOCL and BBY) for a given week. RPF 592. Gray bars represent confirmed bookings, and orange bars reflect bookings that were rejected/declined by OOCL. RPF 592. These graphs only relate to OOCL's space allocations under the 2020 and 2021 service contracts, not to any space afforded under the Secondary (or so-called Premium) contracts. RPF 593. OOCL analyzed the amount of space it allocated to BBY for each service loop, how much space was actually provided to BBY (consisting of OOCL's space allocation (CSAL) and over-allocation, that is, amounts above BBY's allocation), how much space BBY did not use, and how many bookings were rejected by OOCL. RPF 594. The Spotfire graphs visually depict all of this information. RPF 594. The

ISD Team also gathered the cumulative data for these two shipping years, which Ms. Wong converted into the two slides below:

PE203297 (2020-2021 regular contract) Summary for TPTEB

*Excluded commodity Group A for extra loaders

- OOCL space protection
 - CSAL provided (excluded blank sailings 55 TEU) = 2544 TEU
 - Over CSAL accommodation = 1275.25 TEU or 458 cases
 - CSAL + Over accommodation = 3819.25 TEU
 - Rejected TEU below CSAL = 191.75 TEU or 69 cases
 - Total space provided by OOCL = 3627.5 TEU
 - Original MQC = 4200 TEU
 - Pro-rata MQC (PE203297v0: 52 weeks, PE203297v17: 43 weeks) = $4200/52 \times 43 = 3473$ TEU
 - Total space provided under regular services by OOCL vs pro-rata MQC = 104.4%
- BBY fulfilment
 - Total confirmed bookings = 2586.25 TEU
 - Cancelled, terminated, no show bookings = 552.75 TEU
 - Loaded bookings = 2033.50 TEU
 - Unfulfilled TEU = 1041.25 TEU (Total space provided by OOCL of 3627.5 TEU - Total confirmed bookings of 2586.25 TEU)
 - Pro-rata MQC = 3473 TEU
 - Total confirmed bookings vs pro-rata MQC = 74.5%
 - Loaded bookings vs pro-rata MQC = 58.5%

*All calculations based on MQC TEU, i.e. the MQC calculation logic as per the terms and conditions set forth in customer's contract

Remarks:

1. TPTEB data only, excluded TAT
2. Excluded Group A commodities (for extra loaders)

<https://misspotfiredev.oocl.com/spotfire/wp/OpenAnalysis?file=6de94727-b7e4-4205-878d-c740d8139a1a>

PE213179 (2021-2022 regular contract) Summary for TPTEB

- OOCL space protection
 - CSAL provided (exclude blank sailings 1258 TEU) = 5095 TEU
 - Over CSAL accommodation = 1658 TEU or 427 cases
 - CSAL + Over accommodation = 6753 TEU
 - Rejected TEU below CSAL = 104 TEU or 22 cases
 - Total space provided by OOCL = 6649 TEU
 - TPTEB Sub-MQC = 7072 TEU
 - Total space provided under regular services by OOCL vs MQC = 94%
- BBY fulfilment
 - Total confirmed bookings = 5556 TEU
 - Cancelled, terminated, no show bookings = 1308 TEU
 - Loaded bookings = 4248 TEU
 - Unfulfilled TEU = 1093 TEU (Total space provided by OOCL of 6649 TEU - Total confirmed bookings of 5556 TEU)
 - TPTEB Sub-MQC = 7072 TEU
 - Total confirmed bookings vs MQC = 78.6%
 - Loaded bookings vs MQC = 60%

*All calculations based on MQC TEU, i.e. the MQC calculation logic as per the terms and conditions set forth in customer's contract

Remarks:

1. TPTEB data only, excluded TAT

2. Excluded Group A commodities (for extra loaders)

<https://misspotfiredev.oocl.com/spotfire/wp/OpenAnalysis?file=6de94727-b7e4-4205-878d-c740d8139a1a>

RPFF 594.

Ms. Lam explained the above bullet points during her deposition. RPFF 595. Instead of the normal 12 months, the 2020 service contract period was shortened to 10 months at BBY's request, thus ending on April 30, 2021, rather than June 30, 2021 as initially agreed. [REDACTED]

[REDACTED]

[REDACTED] This shortened contract period accounts for the pro-rated references in the first slide (APP-3039). RPFF 596. In calculating the amount of space provided, OOCL accounted for the space it allocated to BBY during each shipping year and the amount of space above its allocations that it provided to BBY minus the number of rejected TEUs below CSAL (that is, rejected bookings that were within CSAL but not accepted for some reason; the contracts did not obligate OOCL to accept bookings that exceeded BBY's

MQC).²⁰ RPFF 597. OOCL then compared that sum against the pro-rated MQC for the 2020 shipping year. This analysis indicates OOCL provided 104.4% of the space that it said it would provide to BBY in the 2020 service contract. RPFF 599. OOCL replicated the process for the 2021 shipping year and found that OOCL provided 94% of the space that it said it would provide to BBY in the 2021 service contract. RPFF 600.

OOCL's analysis extended to evaluating the extent to which BBY fulfilled its contractual obligations to provide space to BBY, which accounted for confirmed bookings minus cancelled, terminated, and no-show bookings plus unfilled TEUs (that is, space set aside for BBY that BBY did not use). RPFF 601. OOCL then compared that total against BBY's annual MQC obligation for each shipping year (pre-drawdown) and found that for the 2020 service contract, BBY only fulfilled 58.5% of its obligation to use the space provided to it by OOCL and 60% for the 2021 service contract.²¹ RPFF 602. In sum, OOCL made the requisite space available and BBY did not deliver the requisite number of containers to fill that space.

²⁰ During the two shipping years at issue, BBY contracted with Yusen Logistics for that company to serve as its booking agent in Asia, and Yusen was obligated to book per the monthly ocean carrier allocations provided by BBY, not pursuant to BBY's rolling forecasts. RX 105 (Ex. 274, Yusen Logistics Contract); APP-2396-97 (Shippee Tr. 25:4-28:20). Yusen regularly double-booked BBY's containers during the pandemic. APP-1554 (McQuade Tr. 43:12-44:9) (McQuade wrote an email to BBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space."); APP-2396 (Shippee Tr. 22:1-18) (with respect to double booking, Yusen's Rita Shippee testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . .").

²¹ To avoid BBY having to pay liquidated damages, the parties agreed to reduce the MQC amount to the actual number of containers carried in service contract years 2020 and 2021 and executed service contract amendments to that effect. RPFF 647-48. The "practice of reducing MQCs to reflect the volume of cargo actually shipped is consistent with the industry-wide practice in the ocean transportation industry." *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 2014 WL 5316345, at *30. BBY's Paul Pastor also testified that these amendments, called drawdowns, are common. APP-2005 (Pastor Tr. 302:6-21).

OOCL did not stop there. To address the allegations that OOCL failed to afford BBY adequate space in August 2021, OOCL's Director of Marketing and Sales in Salt Lake City, Glenn Metzger, dug deeper into the actual bookings made by BBY or on its behalf, cancelled (by BBY), and declined (by OOCL) during 2021/22 shipping year. RPFF 603. Mr. Metzger possesses the requisite IT and OOCL corporate database experience to undertake this analysis. RPFF 606. He also authenticated all of the data he relied upon, save for one spreadsheet (Ex. 390), which was separately authenticated by OOCL's Inside Sales Analyst Peter Nash. RPFF 607; RX 663-64 (Nash Declaration, referencing two spreadsheets, the second of which was provided to OOCL's container liability expert Lars Jensen for review).

Mr. Metzger had concerns in August 2021 about both the performance of OOCL's North American Group ("NAG") and of its beneficial cargo owner contract shippers. RPFF 608. In preparing a slide show back then to address his concerns, he looked at overall MQC numbers for NAG shippers, but he did not evaluate the actual bookings made by the shippers referenced in the slide show. RPFF 609. Mr. Metzger, as a non-retained expert, evaluated two issues, the second of which is germane to space allocation in the 2021-22 shipping year – he evaluated the overall booking behavior in relation to CSAL. RPFF 610.

He reviewed the booking activity for each vessel during the 2021-22 shipping year against which BBY had any activity (i.e., confirmed, cancelled, and declined bookings, no-shows, and all related activity). RPFF 611. If the vessel had any activity involving BBY, he extracted data regarding those vessels from the system and then examined how that booking activity related to the space that had been reserved for BBY using CSAL. RPFF 612. He explained in detail his methodology and findings during his deposition. RPFF 613. Based upon his review of the data, Mr. Metzger opined that "OOCL met and exceeded its commitments, or its allocation." RPFF 614.

Mr. Metzger also explained how his analysis differed from that of Karen Lam and her Team. He testified:

Q. You're familiar with Karen Lam's slides of space OOCL allocated to Bed Bath during the shipping years 2021 and -- excuse me -- 2020-'21 and '21-'22?

A Yes.

Q How does your analysis differ from Karen Lam's analysis?

A So my analysis takes into account BBB's activity. So, basically, looking at the activity that BBB had, in terms of bookings, in relation to Karen Lam's report, she did that review. In addition, she showed where there was vessels that had a CSAL that was not utilized. In my report, if there was no booking activity, basically, I didn't analyze that.

Q Okay.

So fair to say your analysis was limited to where there was some form of booking activity?

A Correct.

RPFF 615.

Further, employing a very detailed methodology, Mr. Metzger analyzed whether OOCL shifted any space from service contracts to the secondary (or so-called “premium”) service contracts. RPFF 616. He evaluated the period May 1 through September 30, 2021, and testified that he did not “see any reason to believe that OOCL was shifting space from any -- one contract to another.” RPFF 617.

Two independent and unrefuted analyses of booking data by OOCL—one by Karen Lam and her Team and the other by Glenn Metzger—confirm that OOCL fully met its obligations under the service contracts to provide space to BBY in both the 2020 and 2021 shipping years. BBY, on the other hand, has performed no such analysis, and its evidence package is a sham, as

demonstrated above. BBY has failed to carry its burden of proof on the central theory of its claim, which in turn underlies the vast majority of its assertions as to its rights to Shipping Act reparations as well as its incremental expenses claim (espoused by Mr. McCown based on the Amended Complaint's shortfall numbers—which is not evidence—multiplied by the purported cost of transporting the NVO-carried containers identified in Appendices A-1 and B-1—about which he has no knowledge—for a total of \$22,709,971.80), APP-3791, 3809, 3844 (McCown Report ¶¶ 175 and 176, Appendices A-4 and B-4) and lost-profit-per-container claims (set forth in BBY's First Amended Complaint ¶ 179 by “calculating the average profits per container of the shipper's cargo actually carried in the relevant period multiplied by the shortfall of containers that the carrier failed to carry” for which BBY used the shortfall amounts either in its Complaint—which is not evidence—or in McCown's Report, which is based on the non-evidentiary Complaint numbers), the latter of which amounts to the astronomical sum of \$133,055,566.

BBY has produced no reliable evidence to support any of its claims (RPFF 698-787; 550 to 575); OOCL has produced detailed facts and evidence that clearly show its performance not only met but exceeded the commitments it made in the 2020 service contract and substantially complied with the 2021 service contract. RPFF 576-618.

B. Complainant fails to prove Count II relating to detention and demurrage under 41102(c)

Count II of the Amended Complaint avers that Respondent violated 46 U.S.C. § 41102(c)²² by an unreasonable practice of charging detention and demurrage at a time when ports were congested, and it was difficult for shippers/consignees/truckers to timely pick up import cargo or

²² That section states: “(c) Practices in Handling Property. —A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

return empty containers. As discussed below, however, Complainant totally ignores the controlling judicial/agency framework for claims under 46 U.S.C. § 40102(c). Indeed, it entirely fails to mention the Commission/court case that created/modified that framework. Complainant also fails to provide the Presiding Officer with any other carriers' detention and demurrage rates with which to compare OOCL's rates, vitiating its claim for damages as discussed in Section III below.

1. A Brief Interjection about Detention and Demurrage

Because the crux of Count II relates to allegedly unreasonable DD charges imposed by OOCL, we offer a brief summary about those charges and the benefits that flow therefrom.

Both detention and demurrage charged by ocean carriers are charges relating to a shipper's use of the carriers' equipment, specifically containers. Detention is a charge assessed by an ocean common carrier when the shipper fails to return the carrier's container within a period specified in the ocean carrier's applicable tariff and/or service contract. As the D.C. Circuit explained: "detention charges provide an incentive for the timely return of equipment and compensate the ocean carrier for the opportunity cost of its late return." *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113, 1115 (D.C. Cir. 2024). The Commission has focused especially on the incentivizing effect of detention. Further, on February 13, 2025, the Commission issued a new decision in *TCW, Inc. v. Evergreen Shipping Agency, et al.*, reversing the initial decision's cease-and-desist order relating to certain detention charges "because case-by-case determinations are necessary to assess the reasonableness of challenged demurrage and detention practices." Docket No. 1966(I), (FMC Feb. 13, 2025).

Demurrage (for imports) is a similar charge for a shipper's failure to timely remove a loaded container after it has been discharged from the vessel and made available for pickup. Like detention, it serves to promote the timely removal of cargo from the terminal and also to

compensate the ocean carrier for the use of its container and for the charges the ocean carrier must pay the terminal for extended use of space on the terminal.

The purpose of this brief recitation is not because it is Respondent's burden to demonstrate that the challenged charges served their intended purposes (although they did), but rather to help explain the significant hurdle Complainant must surmount to prove that they *did not*. Complainant has not even attempted to surmount that hurdle, much less cleared the bar. RPFF 502.

2. **The required elements of a detention and demurrage claim under 41102(c)**

In *TCW, Inc. v. Evergreen Line Joint Service Agreement*, the Commission and courts adopted a framework for deciding when an assessment of detention or demurrage charges violates 46 U.S.C. § 41102(c). *TCW, Inc. v. Evergreen Line Joint Service Agreement*, 3 FMC 2d 1 (S.O. 2021), *aff'd* 5 FMC 2d 192 (FMC 2022), *vacated and remanded*, *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024) ("*TCW*"). Under the *TCW* framework, the Commission (and courts) look at individual shipments and days to determine whether the ocean common carrier improperly charged detention or demurrage for particular days. To make out a statutory violation for unreasonable detention/demurrage charges under this framework then, a complainant must prove the unreasonableness of the challenged demurrage and detention practices on a case-by-case basis. *TCW, Inc. v. Evergreen Shipping Agency, et al.*, Docket No. 1966(I), (FMC Feb. 13, 2025). Instead, BBBY relies upon vague, generalized, and anecdotal claims of congestion or equipment shortages without demonstrating in any case what *actually* caused delays to the specific containers which led to demurrage or detention charges. RPFF 502.

The Commission in *TCW* emphasized the Incentive Principle as expressed in 46 C.F.R. § 545.5, explaining that: "in general the Commission will consider the extent to which [charges] are serving their intended primary incentivizing purpose." *TCW, Inc. v. Evergreen Line Joint Service*

Agreement, 5 F.M.C. 2d 192, 200, (FMC 2022), *vacated and remanded*, *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024) (“*TCW*”). It further found that a charge could not serve an incentivizing purpose if the complainant could not return a container on a particular day, for example, if the port was closed. In this respect it stated, *inter alia*:

The SCO correctly found that the per diem charges were unreasonable because ‘they could not have incentivized cargo movement given that the port was closed on those days, ***making it impossible for Claimant to return the equipment.***’

TCW, Inc. v. Evergreen Line Joint Service Agreement, 5 F.M.C. 2d. at 200-01 (emphasis added).

The Commission held in that case that the ocean common carrier had improperly charged detention for the specific days when the port was closed, but it allowed the assessment of detention on days when the port was open. Thus, the Commission expressly recognized that the propriety of such daily charges could be addressed only by reference to the specific days for which they were charged, to see if the complainant was precluded from picking up or returning a container for reasons beyond its control, such as closure of the relevant facility.

The D.C. Circuit agreed with the Commission that it is important to consider the incentivizing purpose of a specific charge. But it disagreed entirely with the Commission’s conclusion that inability to pick up or return a container on a particular day is, by itself, sufficient to determine whether a particular charge did or did not incentivize cargo flow, concluding that the Commission “failed . . . adequately to analyze the effect of the detention charges at issue here.” *TCW*, 106 F.4th at 1114. In this respect, the court decided that the Commission’s single-factor analysis was overly simplistic, holding instead that a determination as to whether a particular charge for a particular shipment on a particular day violated 46 U.S.C. § 41102(c) requires a fact-intensive inquiry into all of the relevant facts concerning the container. In particular, the D.C. Circuit stated, for example, that: “[i]t was arbitrary and capricious for the FMC to commit to

making a circumstantial, fact-bound inquiry in the interpretive rule and then, when it came time to apply the rule, to jettison all but its favorite factor.” 106 F.4th at 1118. Likewise, the court found that the Commission’s reasoning was:

charitably put, implausible. Bright line rule or not, the Commission errs insofar as it maintains a detention charge necessarily lacks any incentivizing effect because it is levied for a day on which a container cannot be returned to a marine terminal. On the contrary, being charged for detention during a port closing announced before the carrier picks up the equipment heightens the incentive to return equipment on time.

Id. Thus, under the court’s holding in *TCW*, the Commission may not simply assume, as it had earlier in that proceeding, that the assessment of detention charges lacks incentivizing effect on dates when the complainant was unable to return containers. Instead, the Commission must analyze all of the relevant facts and circumstances pertaining to that container on that date to see if the charge might promote container flow. In particular, the court said that the Commission must consider, *inter alia*, whether a charge for Saturday or Sunday incentivizes a shipper to return the container on Friday (or earlier).²³

As the above discussion demonstrates, both the Commission’s and the D.C. Circuit’s decisions in *TCW* make it indisputable that a claim for unreasonable assessment of detention or demurrage charges must be evaluated on a ***shipment-by-shipment, date-by-date, charge-by-charge*** basis. Even if return of a particular container may be impossible on one day, return may well be possible the next day (or the day before). And, as the D.C. Circuit held, the Commission may not automatically eliminate charges for days when the facility is closed, at least not when the closure was known in advance, but must instead weigh all of the particular facts and circumstances

²³ The court’s conclusion, quoted above, that charging more for failure to return a container provides a greater incentive than charging less is inescapable as a basic matter of economics and common sense, as well as a linchpin of all penalty systems, including the Commission’s own system for assessing civil penalties.

to determine whether a specific day's charge is consistent with the incentive principle, including by incentivizing an earlier return. This approach was again confirmed by the Commission on February 13, 2025 Order: "...case-by-case determinations are necessary to assess the reasonableness of challenged demurrage and detention practices." *TCW*, Slip op. at 2.

The inescapable conclusion that a complainant claiming a violation of 46 U.S.C. § 41102(c) must prove that claim by addressing specific shipments and specific dates for which demurrage or detention was charged is supported by additional FMC precedent. In *Hapag-Lloyd, A.G. -- Possible Violations of 46 U.S.C. § 41102(c)*, FMC Docket No. 21-09, 4 FMC 2d 53, 94 (I.D. 2022), for example, the Presiding Officer found it necessary to look at the alleged violations of the Shipping Act on a container- by-container *and* day-by-day basis, concluding that "BOE did not establish a violation for all eleven shipments or for all days of detention." Accordingly, she found violations of 46 U.S.C. § 41102(c) only for *some shipments* on *some days*. More recently, the Presiding Officer stated that an allegation of a violation of 46 U.S.C. § 41102(c) concerning multiple shipments made it "likely that [complainant] would need to establish an inability to return each container." *Access One v. COSCO*, FMC Docket No. 24-13 (ALJ Order Denying Partial Motion to Dismiss, June 4, 2024). This is, of course, the usual method the FMC uses for determining violations concerning a respondent's actions respecting multiple shipments. *See Anderson International Transport – Possible Violations*, FMC Docket No. 07-02, 32 S.R.R. 1678 (FMC 2013) (shipment-by-shipment review of whether respondent violated Shipping Act by acting as an unauthorized NVOCC).

3. Complainant omits required 41102(c) elements under Count II

As stated above, this case is governed by the Commission and court decisions in *TCW*. Yet you will search in vain for any reference to that governing case either in BBY's Table of Cases or in the text of the Complainant's Brief (or in the McCown Report). This failure cannot be excused

by a plea of ignorance (justifiable or not), as Respondent specifically called the D.C. Circuit precedent to the attention of the Presiding Officer and Complainant by way of Respondent's Notice of Supplemental Authority, filed on July 15, 2024.

More immediately, Complainant has failed even to attempt proving the necessary elements of a claim under 46 U.S.C. § 41102(c), as enunciated in *TCW*. Even though BBY's Vice President of Global Transportation Reid Klosowsky recognized that the **burden of proof** rested with BBY (RPFF 497), BBY has made no effort to show for any specific container that BBY or its agent could not *in fact* pick up or return a container on any day, much less all days, for which it was assessed a detention or demurrage charge. RPFF 496. Nor has it said a word about the central requirement again recently affirmed by the Commission – whether a particular charge for a particular day might have incentivized timely or earlier return. Complainant has instead relied on the assumption that, during a generalized period of port congestion, it is *always* impossible to pick up or return a container. *See e.g.*, RPFF 502. BBY's "irrebuttable presumption assumption" does not satisfy the *TCW* requirements. And it is obviously untrue. RPFF 122, 123. Thousands of containers were timely picked up or returned during the period of port congestion, so assuming otherwise is necessarily false. RPFF 122, 123. Indeed, BBY itself was repeatedly able to make timely pick up or return of containers for the majority of the shipments it identifies as being transported by OOCL during the relevant period.

4. OOCL's Detention and Demurrage charges were just and reasonable

While BBY claims adjustments are owed for demurrage and detention charges for over 1,000 containers, the evidence shows that no one at BBY or on its behalf evaluated any, much less each, container for which demurrage and detention was charged to ascertain whether BBY's delays in picking up loaded containers or returning empty containers were caused in each case by matters beyond the control of BBY and/or its agents, such as a lack of access, lack of

appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. RPFF 496, 538. Instead, BBBY relies upon anecdotal evidence of industry-wide delays and difficulties due to the foregoing factors without providing any specific container-level details. RPFF 502. As discussed above and below, the Commission's and the D.C. Circuit's jurisprudence requires additional detail to prove a claim of unreasonable charges.

In October 2021, when BBBY first asserted that OOCL had unreasonably charged it for demurrage and detention, OOCL requested additional information, which BBBY never provided. RPFF 500. OOCL had a comprehensive process in place during the pandemic to vet and resolve DD charges and issues. RPFF 486-495, 504, 505, 540, 542. From 2020 to 2022, BBBY submitted only two claims regarding DD charges on specific containers. OOCL's Demurrage and Detention Department Supervisor Tracy Sha (RPFF 17.o) testified that her team vetted and resolved both of those claims. RPFF 501. And in the course of this litigation, OOCL's Tracy Sha and her team vetted and verified the charges relating to *each and every container* and prepared a spreadsheet addressing more than 1,000 containers. RPFF 503, 538, 539. Ms. Sha testified at deposition as follows:

Q. Okay. And so what did you do with respect to the conclusions that you reached after vetting every one of these containers? What did you conclude?

A. Yeah. So what we concluded definitely is we now have the OOCL, our side of the data of the charge amount. Also we have the justification, so we do have a finding that among the list, there are ten containers in a particular day for their container type the terminal is not able to accept empty return. So for those ten days or ten containers, we marked that there's one day invalid, and we issue the credit note for that amount. So that is marked in the sheet under Column V and Column W, yeah.

And for the rest of the days is the majority because there's more than one thousand containers –

A. For the rest of the record in overall, there's more than 1,000 container records. What we presented here is the justification for why we view the charge is valid, so we giving the justification for the charge billed dates.

RPFF 503. OOCL billed for days when the terminals were open for pick-up and able to receive empty containers. APP 2301; 2302 (Sha Tr. 16:4-12; 20:24-21:5).²⁴

The *TCW* decision highlighted the evidentiary inquiry necessary to find whether the imposition of a detention charge in certain circumstances is “just and reasonable.” In *TCW*, the shipper did not return a container and chassis to the port due to a COVID-related delay at a warehouse; the container was seven days late and the chassis twenty-two days late. The FMC applied its “incentive principle” to hold that the carrier’s imposition of detention fees did not provide an economic incentive to promptly return a container on days when the terminal to which the container was to be returned was closed. In vacating and remanding the FMC’s decision, the circuit court said, among other things:

“Evergreen faults the FMC's Order on all fronts: It argues the Commission failed to consider relevant factors owing to its myopic focus on the incentive principle, did not give a reasoned explanation for several aspects of its decision, and applied the incentive principle in defiance of common sense to reach an illogical result. We agree.

²⁴ If a customer advised OOCL that it was not able to return an empty container because of a dual transaction requirement at the terminal, OOCL would not charge detention for that day. APP 2309-2310; 2318 (Tracy Sha Tr. 49:23-50:7; 84:25-85:8). In Southern California, OOCL validated that the terminals were open by checking the operation team’s record of equipment broadcasts sent to the trucking community advising when terminals were open and closed, and whether any restrictions existed). APP 2353 (Tracy Sha Tr. 224:8-24). For other areas of the country, OOCL reviewed calendar data to determine whether a terminal was opened or closed. APP 2357 (Sha Tr. 239:4-12). Tracy Sha and her team validated all of BBY’s DD charges. APP 2357 (Sha Tr. 160:6-16).

Indeed, the FMC's failure to respond in any meaningful way to most of Evergreen's arguments is itself arbitrary and capricious.

...
“the Commission treated the incentive principle as just the sort of ‘bright line’ rule it had denied creating when adopting the rule. . . . It was arbitrary and capricious for the FMC to commit to making a circumstantial, fact-bound inquiry in the interpretive rule and then, when it came time to apply the rule, to jettison all but its favorite factor.

...
“For those of Evergreen's arguments to which the FMC did respond, its reasoning is, charitably put, implausible. Bright line rule or not, the Commission errs insofar as it maintains a detention charge necessarily lacks any incentivizing effect because it is levied for a day on which a container cannot be returned to a marine terminal. On the contrary, being charged for detention during a port closing announced before the carrier picks up the equipment heightens the incentive to return equipment on time.

“The illogic of the FMC's position is illustrated by the very reason it offered in its support, to wit, the need to “consider the broader context of freight fluidity throughout the supply chain — such as potential logjams if there is a rush to get equipment in before a weekend closure.” Br. of Resp't 16. If the Commission is right that there is no incentivizing effect from charging detention fees on a weekend when a port is closed, then why would there be a logjam to avoid the detention charge? This logical inconsistency alone renders the Commission's Order arbitrary and capricious. *See Am. Fed'n of Gov't Emps. v. FLRA*, 470 F.3d 375, 380 (D.C. Cir. 2006) (“Certainly, if the result reached is illogical on its own terms, the [agency's] order is arbitrary and capricious.”).

“Under the APA, the Commission cannot rest upon a bare assertion that a detention charge assessed for a day when a port is closed has no incentivizing effect. It must, at a minimum, provide a logical explanation for its view. Perhaps it can do so on remand, but so far it has done the very opposite.”

106 F.4th at 1117-1118.

TCW is particularly instructive because it found that the FMC failed to undertake a “fact-bound inquiry” into the propriety of detention charges and instead applied its incentive principle as a bright-line rule to find the detention charges violated the Shipping Act because the terminal was closed. *Id.* at 1118. The FMC failed to consider other evidence proffered by the ocean carrier,

including that Evergreen allotted 21 days of free time for the container and four days of free time for the chassis, the shipper was contractually obligated to pay detention charges after the expiration of free time, the port had announced before the shipper took the container the days on which it would be closed, and free time on both the chassis and container had expired before the terminal closures. *Id.* at 1117.

The gist of the holding is that facts matter, and the FMC's detention (and by extension demurrage) decisions cannot rely without explanation upon the application of the incentive principle. In this case, BBY has proffered no facts other than vague and general assertions of its purported liability expert supporting its contention that OOCL overcharged it for demurrage and detention both by the rates charged and the quantum of the charges assessed. OOCL, on the other hand, had comprehensive procedures in place, carefully examined and closely vetted the charges for each container, credited BBY for certain charges, and found that the balance owed (for the vast majority of containers) was reasonable to apply; OOCL applied credits for any excess charges. RPF 486 to 495, 503, 504, 505, 537 to 542. Further, OOCL's DD rates were competitive with its peer competitors. RPF 782, 783.²⁵

Further, BBY's own witnesses have admitted that much of the delay resulted from full BBY warehouses, which impeded BBY's ability to retrieve containers from the marine terminals, RPF 38, 278-285, 288, 458, 459, 460, 506, and which exacerbated the accrual of long-dwell containers at the marine terminals. BBY's distribution centers were also full. RPF 508, 513. Because their warehouses were full, BBY stored hundreds of loaded containers on chassis

²⁵ BBY's liability expert John McCown admitted that OOCL's DD rates were comparable to other ocean carriers aside from Trailer Bridge. RPF 780. However, his use of Trailer Bridge as a benchmark for DD charges assessed by OOCL is fundamentally flawed for a variety of reasons, including that the two companies are not comparable in scale, scope or financial results. RPF 776-780.

at warehouse container yards in Southern California and other remote locations. RPFF 509 (BBBY witness Melinda Porter testified: “Containers in the yard, yes, we were full.”). Record evidence further establishes that BBBY increased the volume of its container shipments during the pandemic, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. RPFF 510. Thus, at the same time as its warehouses and distribution centers were full during the pandemic, BBBY was ordering two to three times more containers into Southern California than it had before the pandemic. Additionally, BBBY prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBBY had a practice of “holdbacks,” that is, leaving products or containers at its warehouses containing goods that were not needed at BBBY stores, or were part of a particular season, or an exclusive line. RPFF 281, 511, 512, 513. Further, In August and September 2021, just prior to Patrick Hackett’s letter of October 18, 2021, complaining about OOCL’s DD charges, BBBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were already over-full, and chartered ships carrying another 200 FEUs. RPFF 514. No wonder BBBY used terminal yards for the storage of its cargo, precisely the ill-effect the Commission has eschewed.

BBBY has proffered no reliable evidence showing that it was unable to timely pick up any single container, much less that it was precluded from doing so for specific reasons beyond its control, as required by the Commission in *TCW*. RPFF 496. It has thus failed to show that part one of the two-part test for finding DD charges unreasonable has been met. OOCL, on the other hand, has demonstrated that it was BBBY’s own supply chain management problems that caused it to experience such delays. RPFF 30-35, 37, 38, 276, 279 to 284, 288, 289, 506-515.

BBBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBBY booked for transport and shipped 590 containers from Asia to the United States with no available warehouse space. RPFF 514; APP 385 (Delprete Tr. 179:20-180:10) (BBBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time, again when its warehouses were full.²⁶ APP 853 (Hackett Tr. 160:8-161-24); RX-000979-996 (Ex. 201).

BBBY also increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Stupnik Tr. 43:7-45:7).

BBBY also prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBBY had a practice of "holdbacks," that is, leaving containers at its warehouses containing goods that were not needed at BBBY stores, or were part of a particular season, or an exclusive line. RPFF 37.

BBBY had more holdbacks during the two shipping years at issue than prior to the pandemic. RPFF 512. BBBY's Gisella Stupnik testified:

²⁶ BBBY's full warehouses impeded the removal of containers from marine terminals, which led to long-dwelling containers, 330 of which OOCL assisted BBBY in moving by rail from the LBCT terminal to Dallas and Savannah. RPFF 506, 530, 535.

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

RPFF 512. Seweryn Soban, BBY's former Customs Compliance manager, testified that "merchandise that was not needed at the time it arrived" caused the lack of space in BBY's distribution centers. APP 2488 (Soban Tr. 231:8-14).

All of the foregoing was in addition to BBY's "self-inflicted disruptions" caused by its inability to forecast and anticipate customer purchasing patterns, altering its traditional inventory and substituting BBY brand-name products (for recognized national brands) that nobody wanted and did not buy, firing its CEO, buying back its stock, and failing to meet its debt service commitments leading to its eventual liquidation. RPFF 30, 32, 482, 513, 705, 727.

In such circumstances, any holding that OOCL's application of demurrage or detention charges violated the Shipping Act would turn the incentive principle on its head, thus failing to satisfy step two.

C. Complainant fails to prove Count III, its claim for unreasonable rates under 41104(a)(2)

As demonstrated in Section IV below, the Commission has no authority to determine whether the quantum of a carrier's freight rates or surcharges is reasonable or unreasonable. Complainant makes no claim to the contrary.

Instead, Complainant rests its claim on the statutory requirement that carriers adhere to the rates, terms and conditions, of the *applicable* tariff or service contract. *See* 46 U.S.C. § 41104(a)(2). That section does not in any way address the level of rates (i.e. prices) but instead requires the carrier to charge what it said it would charge and apply the terms and conditions it said it would apply, as spelled out in the particular tariff or service contract under which a specific shipment was transported by the carrier, that is, the "filed rate." Thus, 46 U.S.C. § 41104(a)(2) states that an

ocean common carrier may not “(2) provide service in the liner trade that is— (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title” Complainant *does not* allege, however, that Respondent ever assessed it a rate or charge, or engaged in a practice, that was not set forth in the specific service contract under which any of BBBY’s shipments moved.²⁷ This is, of course, fatal to its claim under the plain language of the Shipping Act.

As described in the RPFFs, Complainant and Respondent in fact entered into two separate service contracts in the same trade in each year—the Service Contracts and the Secondary Contracts—an activity not uncommon for many reasons.²⁸ RPFF 629-632. In this case, the secondary service contract afforded substantial additional space at a time of constrained capacity throughout the industry. [REDACTED] A second service contract, always entered by mutual agreement of the parties, may also be used in some circumstances to avoid application of the tariff rate. Complainant does not—and cannot—allege that it involuntarily entered into either the Service Contracts or the Secondary Contracts and the amendments thereto, each of which had different rates, different MQCs, and various other terms and conditions. [REDACTED] Complainant was free to decline to enter into the Secondary Contracts, as these contracts were only offered to shippers that wanted them to access additional

²⁷ There is no evidence in the record that OOCL charged a freight rate that was not on file with the FMC, or a demurrage or detention rate that was not included in OOCL’s published tariff. Nor is there any evidence in the record that BBBY’s signatories to the [REDACTED] service contracts and amendments thereto during this period signed those agreements involuntarily or under duress. [REDACTED]

²⁸ A carrier and shipper may enter into multiple service contracts at either’s request or for a variety of reasons. As just one, illustrative reason, a shipper may wish to have separate service contracts for different geographic areas, different trades, or different routes. The underlying purpose for this division could be anything from a desire to hide certain information about the shipper’s supply chain from its intermediaries/agents to the fact that the shipper uses different subsidiaries in different places (and many other reasons).

space (i.e., above their annual service contract MQC) that became available on an *ad hoc* basis. RPFF 659.

Some of the shipments covered by the Complaint moved under the Service Contracts, while others moved under the Secondary Contracts. Complainant was always *free* to choose under which contract to book cargo, and indeed it did, as BBY's booking agent directed OOCL under which contract to make a booking. RPFF 272. Respondent never forced Complainant to use one service contract or the other. Rather, using one or the other had advantages and disadvantages of which Complainant could avail itself. The Service Contracts had lower rates, but the services OOCL operated thereunder (on its own or in conjunction with the Ocean Alliance), were often filled to capacity (and sometimes technically beyond capacity), so it might take longer to book a shipment under that service contract. [REDACTED] The Secondary Contracts covered a completely separate, *ad hoc* service, operated by OOCL alone, often on short timelines and direct services (instead of routes with multiple port calls) not covered by the Service Contracts. [REDACTED]

[REDACTED] Because the freight rates for the Secondary Contracts were higher than they were for the annual contracts (though still lower than NVOs would have charged (RPFF 273, 274)), shippers who voluntarily entered into such Secondary Contracts tended to use their Service Contract if possible.

There was no compulsion for any shipper, including Complainant, to use a particular contract for a specific shipment. Shippers were entirely entitled to (and did) weigh the advantages and disadvantages of the respective contracts and choose the contract that best suited the shipper's needs for the particular shipment.

Whichever contract a shipper chose to use for a specific shipment, OOCL scrupulously observed its terms and conditions. RPFF 638, 639, 640-645. If the shipper chose to use an annual

Service Contract for a particular shipment, it was charged the rates and subjected to the terms and conditions set out in that contract. Likewise, if the shipper chose to use a Secondary Contract for a particular shipment, it was charged the rates and subjected to the terms and conditions set out in its Secondary Contract. Notably, Complainant does not assert the contrary. RPFF 645.

It may be useful to understand why there were two separate carriage contracts and why some shippers, such as Complainant, voluntarily signed Secondary Contracts. When negotiating service contracts for 2020 and 2021, OOCL and its customers agreed to space commitments based on the services OOCL expected to have available to it at the time of negotiations. Shippers were well aware of what those services would be during the back and forth of the negotiations process. Thus, both the shipper's commitment to use minimum volume of OOCL's service and OOCL's commitment to provide a specified service level (that is, space to carry the shipper's containers), were based on a mutual understanding as to the services OOCL would use to carry the shipper's cargo from specified origins and to specified destinations. [REDACTED]

As everyone knows, and the Commission may officially notice, 2020 and 2021 did not turn out as expected. Instead, as demand for imports of cargo to the United States spiked, demand for liner space similarly soared until it significantly exceeded available vessel capacity. RPFF 93. This was exacerbated by the effects of port congestion in the United States and port closures in China, which effectively reduced the usable capacity that carriers could make available to shippers. RPFF 122, 123, 289, 380, 549.

When demand from customers continued to exceed the capacity it could provide in its normal operations, OOCL developed an ancillary approach for the benefit of shippers desiring more space. RPFF 273, 659, 663. In particular, it added new, OOCL-only services, using vessels that were then operating in other trades where they earned significant revenues. Pulling those

vessels from other (non-U.S.) trade lanes created substantial lost opportunity costs; to compensate, the new U.S. services had to be priced higher than the majority of the annual service contracts that had been negotiated months earlier. If such prices could not have been achieved, OOCL would not have created the service, and shippers, including Complainant, would not have had access to the additional space at any price. Space was offered to shippers on these services via the Secondary Contracts. This space was over and above the space offered under the original annual service contracts and was used by BBY to supplement its needs over the MQC in the annual service contracts. RPFF 772. BBY knew that the Secondary Contract constituted a separate space commitment from the traditional annual service contract. RPFF 275, 442-444, 659. The MQC in each secondary contract was “1 TEU,” and each amendment addressed separate capacity from the annual service contract with volume commitments therein. RPFF 387; [REDACTED]

[REDACTED]

This new service was intended only for shippers that wished to enter these additional service contracts. OOCL made such service contracts available on a voluntary basis. RPFF 273. Indeed, many shippers declined to enter into Secondary Contracts, so their available space was limited to their annual service contracts. Others, including Complainant, took advantage of the opportunity to access an additional service with additional space, even though it came at a higher price (though the price was still lower than prices of re-sellers of space, that is, NVOCCs). RPFF 660, 661, 662. Had BBY wished to insist that its freight be carried solely under the annual Service Contracts and to decline entering into Secondary Contracts, it could have done so. BBY, however, made a business decision that it would pay higher rates for additional space. BBY now seeks to undo the arms-length contracts it knowingly entered into.

Container shipping Industry expert Lars Jensen testified that the freight rates charged by OOCL were within market during the pandemic. RPFF 782. Further, as stated above, the rate levels for demurrage and detention charged by OOCL were competitive with its peers in the market. RPFF 781, 782, 784. Given BBY's voluntary agreement to these rates, Complainant obviously knew that they were competitive with the rates offered by BBY's other carriers and thereby just and reasonable at that time. In sum, Complainant has failed to proffer any evidence of unreasonably high rates, while the record shows not only were the rates under the Secondary Contracts within market, but they were also agreed on an arms-length basis between BBY and OOCL and used for shipping cargo **over and above** BBY's annual MQC allocation. RPFF 275, 634, 644, 660, 661.

II. Complainant fails to prove Counts IV and V – its retaliation and refusal to deal claims

Complainant asserts claims in Counts IV and V of retaliation and refusal to deal or negotiate under 46 U.S.C. § 41104(a)(3) and (a)(10). As shown below, these claims fail as OOCL's conduct was at all times just and reasonable. Complainant was well into its descent into financial insolvency, leading OOCL to make rational, reasonable business decisions relating to its contractual dealings with Complainant.

A. Complainant fails to prove Count IV relating to retaliation under 41104(a)(3)

The Shipping Act, as amended by the Ocean Shipping Reform Act of 2022 ("OSRA22") (effective June 16, 2022), states that certain entities, including common carriers, may not:

(1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or

(2) resort to any other unfair or unjustly discriminatory action for—

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has—

(i) patronized another carrier; or

(ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason.

46 U.S.C. § 41102(d)(2024).

Prior to OSRA22, the applicable statutory section prohibited common carriers from “retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. App. § 1709(d)(1), Pub. L. 98–237, §10(d)(1), Mar. 20, 1984, 98 Stat. 77; Pub. L. 105–258, title I, §109(c)(2), Oct. 14, 1998, 112 Stat. 1909.

Both before and after OSRA22, the statute required two essential elements. First, the carrier must engage in an actual act of retaliation; that is, the challenged carrier actions must have been specifically intended to return like for like or get revenge. The word usually implies a paying back of injury in exact kind, often vengefully. Merriam-Webster (online Edition) (“to return like for like *especially* : to get revenge” for example, “the enemy *retaliated* by executing their prisoners.”).

The second element is that there must be a specific type of “protected” antecedent act by the complainant that brought about the allegedly retaliatory conduct by the carrier. *OJ Commerce, LLC v. Hamburg Sud*, 2024 WL 4034610 (FMC 2024) (“OJ Commerce”). There is no allegation here that BBBY brought a complaint against OOCL at the FMC before the challenged conduct or that the challenged OOCL conduct was in response to BBBY having patronized another ocean

carrier. Accordingly, BBY's claim is necessarily limited to the proposition that OOCL retaliated against it for "any other reason."

The term "any other reason" might, on its face, appear quite broad. But the Commission has, both before and after OSRA22, applied a narrow interpretation of that term, limiting it to antecedent acts that closely resemble those specifically set out by Congress. In *Statement of the Commission on Retaliation* Docket No. 21-15, (FMC. December 28, 2021) (available at https://www2.fmc.gov/ReadingRoom/docs/21-15/21-15_Policy_Retaliation.pdf/) ("Statement"), an informal, non-binding statement of guidance²⁹ regarding retaliation, the Commission recognized that the term "any other reason" must be interpreted in clear accord with the actions specifically denominated by Congress:

"Under the *ejusdem generis* canon of statutory construction, general words following a list of particular classes of things are construed as applying ***only to things of the same class as those listed***. *Cal. Shipping Line*, 1990 FMC LEXIS 25 at *40 n.19."

(Emphasis added) (Statement at 7 n.36). Accordingly, the Commission explained: a claim of retaliation must be based on proof that the carrier acted "because the protected entity engaged in protected activity (patronizing other carriers, filing a complaint, or other activities ***of the same class***)." The statement likewise says:

The Commission interprets "any other reason" to mean that protected activity under § 41104(a)(3) includes other ways that shippers may bring allegations of unlawful activity to the Commission, such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS' dispute resolution procedures.

Statement at 7.

And it further states:

²⁹ The Statement cannot be considered a substantive rule because it was published without the requisite notice and comment rulemaking. Administrative Procedure Act, 5 U.S.C. §§ 553. It is therefore binding neither on the Commission nor regulated entities.

The Commission also acknowledges that § 41104(a)(3) should not be read so expansively that it renders other prohibitions in Chapter 411 of Title 46 superfluous. . . . The latter does not swallow the other prohibitions, however, because it is not a flat prohibition on all unfair or unjustly discriminatory conduct. A complainant ***must show*** that a carrier engaged in prohibited conduct (refusing cargo space accommodations or other unfair or unjustly discriminatory methods), with respect to a protected entity (shipper), ***because*** the protected entity engaged in protected activity (patronizing other carriers, filing a complaint, ***or other activities of the same class***).

Statement at 9.

The Commission and its Administrative Law Judges have had a few opportunities to expound on the issue of what falls within the same class as filing a complaint. The informal Statement says that the class may include “other ways that shippers may bring allegations of unlawful activity to the Commission, such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS’ dispute resolution procedures.” None of these are involved here. Rather, Complainant alleges that a letter it sent to Respondent, which by its plain language contained absolutely no threat of filing a complaint, ***and which its own author said was not intended as a threat***, is a protected antecedent activity because some employees of Respondent may have had a vague concern that Complainant might possibly be thinking of someday, in the uncertain future, filing a complaint with the FMC. RPFF 670 (The author Patrick Hackett testified that: “[i]t was not [his] intent” to make any type of threat to OOCL that BBBY intended to file a claim with the FMC). Despite Mr. Hackett’s sworn testimony, BBBY still asserts that his letter constituted a threat to file a complaint with the FMC. RPFF 671. The second letter made no reference to the FMC. RPFF 674. Each OOCL witness who was asked whether OOCL retaliated against BBBY testified that no retaliation occurred. RPFF 675-678.

Respondent believes that such an expansive definition of the class, which ignores the plain language of the Complainant’s letter in favor of mind reading about what some employees at the carrier may have thought (with or without the letter), is legally and factually untenable. It would

render the whole concept of a class of activities meaninglessly vague and would reverse the burden of proof.

As previously argued, Respondent believes that the outer limit of what may be deemed to fall within the same class as filing a complaint was that stated by the Commission in its decision in *OJ Commerce, LLC*. There, the Commission held that a formal letter explicitly threatening to file a complaint was sufficiently related to actually filing a complaint to be considered within the same class. We are dubious that the federal courts of appeals will approve this expansion of the class as all other actions within the class involve actual communications with the Commission. Even so, if the decision is accepted at face value, the precedent it sets is far removed from the facts here, where there was no explicit threat and *the letter's author* testified that it was *not intended as a threat*. RPFF 670.

The Commission in *OJ Commerce* set a limit on what might fall within the class of “filing a complaint.” It repeatedly distinguished its decision finding a protected activity based on two formal letters (including one from the complainant’s law firm) expressly stating an intent to file a complaint from less formal actions raised by the respondent therein. In this respect, the Commission said:

The ALJ’s decision does not vastly expand the types of retaliation claims the Commission will consider, it only clarified that the category includes formal notices of an intention to file a case with the Commission, like OJC’s notice. Most carriers and shippers want to maintain a business relationship, so notices of an intention to file a case with the Commission will be rare Further, the Commission affirms the ALJ’s decision was appropriate for the facts of this case, which included two formal notices of an intention to pursue legal action. Offhand bluster or idle threats are of a different class.

OJ Commerce, 2024 WL 4034610, at *18.

And in explaining why it thought formal notices of intent to sue might be protected even without an actual communication to the FMC, the Commission stated: “it is reasonable to protect a shipper for stating that it intends to file such a complaint, a more limited but closely related action that would serve the same goals.” *Id.* at *17. Even accepting this assertion, which a court of appeals may not, it provides little basis for protecting a mere complaint about the carrier’s actions that specifically **does not** and **was not intended to** suggest any intention to file a complaint.

Further, in explaining why an extension of the protected activities to a formal notice of intent to file a complaint was not much different from an actual communication to the FMC, the Commission said: “OJC’s two formal demand letters served essentially the same purpose as enlisting CADRS, by putting HSDG on notice of OJC’s claims and providing an opportunity to resolve them before more formal litigation.” *Id.* at *18. By contrast to a formal notice of intent to file complaint with the FMC, a letter that merely objects to carrier action and makes no reference to any intention to file such a complaint or otherwise enlist the services of the FMC, is nothing like contacting CADRS, especially when the letter **was not intended** to convey an intention to sue.

Finally, as quoted above, the Commission recognized that treating formal complaints as protected activities would not implicate many instances, because “notices of an intention to file a case with the Commission will be rare.” *Id.* at *17. Sending complaint letters, on the other hand, is far from rare; rather it is dime-a-dozen commonplace. In fact, the letter’s author Patrick Hackett testified that he “sent this exact letter out to every carrier that we were doing business with[.]” RPF 673. It is hardly reasonable to characterize a shipper’s generic complaints to every carrier it works with as protected conduct that thereby places all carriers at risk of possible retaliation claims every time they receive a complaint from a shipper. Without more, simply receiving generic

customer complaints and declining to kowtow to every shipper demand should not damn a regulated entity to claims of retaliation.

We are aware that the Presiding Officer disagrees with us about the scope of the Commission's decision in *OJ Commerce*. Even so, we expect that the Commission will read that case as we do and are in any event highly confident that the federal courts of appeals will not allow simple customer complaints to be treated as if they were lawyer's letters raising a formal complaint and expressly threatening suit.

Two of the FMC's other Administrative Law Judges have recently read *OJ Commerce* in the narrow way we suggest. In *Samsung Electronics America, Inc. v. OOCL*, Judge Chintella dismissed a retaliation claim where the shipper made complaints to the carrier but never expressed a clear intention to file a complaint. In this respect, Judge Chintella explained:

[T]here is no allegation of such a threat anywhere in the complaint. The complaint speaks only to a demand letter alleging unspecified "unlawful charges," and which "invited OOCL to respond in a substantive manner, and asked that OOCL indicate its interest in discussing cooperative resolution." That a complaint was ultimately filed is not sufficient for me to reasonably infer that the demand letter included a threat to file, as SEA urges. . . . And while the demand letter does mention "unlawful charges," the mere mention of unspecified unlawful activity is not sufficient factual material from which to infer that SEA expressed an intention to engage with the Commission to resolve a dispute'

Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited, 2024 WL 4893409, at *10.

Likewise, in a similar proceeding the Complainant here brought against another carrier, Judge Crovella, like Judge Chintella, in *20230930-DK-Butterfly-1, Inc. (f/k/a Bed Bath & Beyond) v. MSC Mediterranean Shipping Co. SA*, Docket No. 23-12, 2024 WL 1299768, (Order Partially Granting Motion to Dismiss) (ALJ March 25, 2024), found that a complaint letter that did not expressly threaten the filing of an FMC complaint was insufficient to serve as protected activity:

BBBY does not plead facts that it engaged in any of the listed protected conduct in § 41104(a)(3), or that it threatened to do so. Rather, BBBY alleges that it complained to MSC without threatening to or going to the Commission with its complaints. . . . Without more than just complaints to the carrier about it not providing the contracted space allocation, retaliation cannot plausibly be established. BBBY misses the critical point of the decision: threats to engage in protected activity are “closely related to the listed violations.

Id. at *6. And she further explained:

BBBY’s complaints to MSC, with nothing more, do not “serve in assisting the Commission with its mission,” whereas a threat to invoke Commission procedures can be interpreted as doing so. Accordingly, even accepting BBBY’s facts as true regarding Count V of the Complaint and interpreting them in a light most favorable to BBBY, the Complaint does not make out a plausible claim for relief under § 41104(a)(3).

Id. at *7.

But even if the letters were initially perceived as a threat—which they were not—OOCL was confident by April 2022 that risk of any claim by BBBY was in the past. RX-1242 (Ex. 185). With no threat and no perception of a threat, it is simply impossible for there to have been any retaliatory conduct.

In terms of the supposed acts of retaliation, BBBY relies upon its made-up allegations that (i) OOCL purportedly offered higher rates to BBBY than OOCL offered to other similarly situated shippers during the 2022 service contract negotiating period, (ii) OOCL declined to reduce the service contract rates that BBBY had expressly agreed to in the Fall of 2022, when market rates were falling, [REDACTED]. *See* Complainant’s Brief, p. 83 and 86. These allegations are not borne out by the evidence. RPF 677-686, 689.

But even if true, these assertions are irrelevant as a matter of law, because the law is clear that the Shipping Act, as amended in 1998, specifically authorized ocean carriers to treat different customers differently, no matter how similarly situated.

Firstly, the Senate Report accompanying OSRA 1998, discussed below at 75, expressly explained that OSRA 1998 “substantially increase[d] the discretion given to common carriers to provide different service contract terms to similarly situated shippers.” S. REP. NO. 105-61, at 28 (1997). Secondly, OOCL Trade employees testified that they did not engage in retaliatory pricing. RPFF 677, 682. Precisely as the drafters of OSRA 1998 intended, it is not uncommon for carriers to charge different rates to different shippers. *See Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 2014 WL 5316345, at *22 (“[T]he Act does not prohibit common carriers from charging different rates to similarly situated shippers for transportation service pursuant to service contracts. Using the words of section 41104(3), when entering into service contracts, as a matter of law it is not unfair or unjustly discriminatory in violation of section 41104(3) for a common carrier to charge different shippers different rates for the same transportation services.”). As Mr. Chen noted, “we negotiate the rate with Bed Bath & Beyond, but we don’t necessarily compare the price we offer to other BCO customers. Each customer -- each BCO customer may have something unique.” RPFF 679. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Although the FMC has held that, as a matter of law, a carrier need not renegotiate contract rates when the market falls, in this case there was also a sound business reason for OOCL not to further reduce its previously negotiated rates with BBY in the Fall of 2022. Specifically, in August 2022, OOCL's Financial Control Team warned its sales force that BBY represented a grave solvency risk, and in hindsight wisely restricted business with the company to cash, no credit. RPFF 689. APP-3322 (Ex. 192).³⁰ This was a purely business decision, tied in no way to BBY's

³⁰ OOCL's Financial Control Team had BBY "red-flagged" as early as June 2022 due to having over \$2 million past due, raising concerns at that time about extending additional credit. As stated by OOCL's Gavin Murdoch, the accounting decisions relating to creditworthiness had nothing to

complaint letters. Indeed, internal protocol for OOCL trade personnel was to reduce exposure to any customer about whom Financial Control had issued alerts. APP-221 (Chen Tr. 278:12-18). Though it had, perhaps unwisely, reduced freight rates with BBY in October 2022, *id.* (Chen Tr. 278:25-279:8), OOCL decided not to accept BBY's request that OOCL reduce its rates further; OOCL simply was not interested in the increased exposure to the risk of BBY's financial instability inherent in serving BBY. RPFF 689. As noted in Boris Steffen's Expert Report, BBY experienced significant financial instability and took major risks to access financing in the second half of 2022, including the sell-off of 9.5 million shares of an institutional investor, BBY's plan to offer and sell an additional 21 million shares of common stock, and BBY's securing of \$500 million in facility financing, all announced in August 2022. APP-3976, 3978 (Steffen Report ¶¶ 83, 86-87); *see also* RPFF 725, 735, 744, 745, 746, 750, 769. Just like OOCL, the national news media was paying attention to BBY's financial problems. *See* APP-3992 (Steffen Report p. 52). BBY's efforts did not work. 2022 holiday sales fell nearly 50%, and by December 2022, BBY's stores were nearly 35% out of stock, triggering defaults on numerous obligations. *Id.* ¶ 88. Shortly thereafter, in April 2023, BBY filed for bankruptcy with an incredible \$1.8 billion in outstanding debt. RPFF 769 (Boris Steffen Report ¶ 89).

For proof of its retaliation allegations, BBY also relies upon a 17% MQC reduction offered by OOCL in 2022 (*see* Complainant's Brief at 78-79, 83). BBY fails, however, to inform the Presiding Officer that OOCL's decision to reduce MQCs that it would offer *was not specific to BBY* but rather applied *across the board to all shippers*. RPFF 685. As Mr. Chen explained, OOCL evaluated the market in 2022, saw that there was great uncertainty regarding the availability of capacity, and so took a conservative approach, reducing the amount of space it

do with BBY's Mr. Koslowsky's comments regarding overpayment. APP-1866 (Murdoch Tr. 258:22-261:15); *see also* RX-1243 (Ex. 190).

would offer to every shipper via annual service contract by 17%. RPFF 685.³¹ This was, again, a prescient decision, as market demand indeed dropped in the Fall of 2022. RPFF 685. Certainly, an action that OOCL took across the board with all of its shippers could in no way be deemed retaliatory against BBY.

BBY has failed to prove its fabricated retaliation claim by a preponderance of the evidence or indeed any evidence whatsoever. The Shipping Act gives carriers and shippers broad latitude to negotiate and reach agreements based on their commercial business strategies. OOCL negotiated rates in 2022 to which BBY voluntarily agreed by signing an annual service contract for that year. [REDACTED]

[REDACTED] OOCL also declined to further reduce previously negotiated rates with BBY when it became apparent that BBY was facing solvency risks in the Fall of 2022, a sound business decision in retrospect given BBY's bankruptcy shortly thereafter in the Spring of 2023. RPFF 683, 684, 689, 728-750.

B. Complainant fails to prove its Count V, unreasonable refusal to deal under 41104(a)(10)

31 [REDACTED]

BBBY's Count IV asserts a claim under 46 U.S.C. § 41104(a)(10), alleging that OOCL unreasonably refused to deal or negotiate with Complainant by "systematically failing to meet its service commitments to Complainant, failing to provide contracted space to Complainant without PSS or premium rates, and [engaging in] the acts or omissions of Respondent that led to the assessment of the Charges." OOCL met its container space commitments during the shipping years at issue. RPFF 576 to 618. And the parties mutually agreed to, signed and filed 47 contracts (two annual and two secondary service contracts, and forty-one amendments thereto) with the FMC during this period.

BBBY's argument that OOCL refused to deal or negotiate when it declined to lower its freight rates with BBBY further in the Fall of 2022 is not a violation of Section 41104(a)(10). *See Global Link Logistics, Inc.*, 2014 WL 5316345, at *1 ("The Act does not require a common carrier to renegotiate terms of an existing service contract when a shipper becomes dissatisfied with its terms. Therefore, I conclude that Hapag-Lloyd's refusal to renegotiate existing contract rates during the life of the contract when market rates declined is not a refusal to deal or negotiate within the meaning of section 41104(a)(10).").

As well, once a carrier has considered a *bona fide* offer, the carrier's rejection of the offer cannot be equated with a refusal to deal or negotiate. *See Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886 (1993). Here again, BBBY seeks to improperly repurpose and reimagine existing provisions of the Shipping Act to regulate service contract terms and performance, when such claims are clearly outside the scope of the statute and controlling precedent.³²

³² *See also* the Commission's Supplemental notice of proposed rulemaking addressing the Definition of Unreasonable Refusal To Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier, 88 FR 38789 (June 14, 2023), in which the Commission confirmed that 46 U.S.C. § 41104(a)(10) applies only to refusals occurring "while the parties were still negotiating and attempting to reach a deal on service terms and conditions (negotiation stage)." If a refusal occurs at the execution stage, after the parties reached a deal or

However, the allegations underlying this count, even if true (and they certainly are not), fall well outside the test set out by the Commission for claims for refusal to deal under § 41104(a)(10) and the two-prong test in *Canaveral Port Auth. – Possible Violations of Sec. 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, 29 S.R.R. 1436 (2003). Section 41104(a)(10) requires that carriers: (1) “refrain from ‘shutting out’ a person,” (2) “for reasons having no relation to legitimate transportation-related factors.” The Shipping Act does not guarantee shippers or carriers the right to enter into a service contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the 1984 Shipping Act, Public Law 98-237, 98 Stat. 67, or the Ocean Shipping Reform Act of 1998, Public Law 98-237, 98 Stat. 67. All that is required is that common carriers “... refrain from “shutting out” any person for reasons having no relation to legitimate transportation-related factors.” *New Orleans Stevedoring Co. v. Bd. Of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (FMC 2002). A refusal to deal or negotiate is not on its own a violation of the Shipping Act; ***the refusal must also be unreasonable***. *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 2014 WL 5316345 (FMC April 17, 2014), citing *Petchem, Inc. v. Federal Maritime Comm’n*, 853 F.2d [958, 963] (D.C. Cir. 1988) (“The Shipping Act clearly contemplates the existence of permissible preferences or prejudices.”).

III. Complainant fails to competently quantify any quantum of reparations³³

mutually agreed on service terms and conditions, only section 41104(a)(3) (the new provision added in OSRA 2022 addressing vessel space allocation), not 41104(a)(10), will apply.

³³ Throughout Complainant’s argument on reparations, it repeatedly represents that OOCL’s expert Borris Steffen agreed with its damages calculations. As the Presiding Officer will undoubtedly gather from reading the cited deposition, Mr. Steffen, to his credit, acknowledged that, *assuming the underlying facts and data were accurate*, the rote arithmetical calculations were proper. Of course, Mr. Steffen also questioned the underlying facts and data, all of which have been shown grossly inadequate herein. RPFF 758-761; 764-766; 774-778. Complainant’s misrepresentation of Mr. Steffen’s opinions is yet another demonstration of BBY’s failure of candor and abuses of the record in this proceeding.

For its Counts I – V, Complainant claims an entitlement to reparations. As shown in Section I above, the facts borne out in the extensive and expedited discovery in this matter simply do not support any of Complainant’s claims. As shown below in Section IV, Complainant fails to state cognizable claims under the Shipping Act and the Commission lacks jurisdiction over the claims, which are all based in contract. In addition to failing to state cognizable claims and failing to prove same, Complainant also fails to properly quantify its alleged damages, either factually or legally.

A. Complainant’s lost profits per container claim is both legally and factually deficient

BBBY’s lost profits per container claim is both legally and factually deficient.

Factually, this claim is predicated upon a false narrative as to how much container space OOCL afforded BBBY during shipping years 2020 and 2021, which we addressed in Section I above, incorporated herein by reference. BBBY then takes its fallacious shortfall numbers and multiplies them by the purported lost profit per container number calculated by BBBY’s former Senior Director of Financial Analysis Richard Cunniff to produce the astounding claim amount set forth in Amend Complaint ¶ 182. APP-86 (First Amended Complaint). To add apparent heft to this charade, BBBY fabricated two tables identifying containers that were apparently carried by NVOs, which have no correlation to any containers that OOCL declined to book or BBBY attempted to book with OOCL. No one knows who created these tables. RPF 563, 564. Neither Mr. Cunniff nor Mr. McCown created them, but that did not stop Mr. McCown from using them to calculate his purported incremental expenses damages. APP-3791, 3794-3844 (McCown Report §§ 175-176 and Appendices A-1 to B-4). In fact, no such list of declined or attempted bookings exists, and Mr. McCown testified that he did not even think such a list was relevant. APP-1468 (McCown Tr. 127:13-20).

Even if such a list existed, the FMC has acknowledged that while lost *profits* may be a category of damages, lost *revenue* is not. *See e.g., Rose International, Inc. v. Overseas Moving Network International, Ltd.*, 29 SRR 119, 189 (FMC 2001). In *Rose*, as with BBBY, it was unclear whether the complainant would have made any profit at all. Absent such information, which BBBY has failed to present, there is no way to prove lost profit with any reasonable degree of certainty. Further, although Mr. McCown and Complainant take the incredible position that every single shipment BBBY shipped with an NVO was a shipment not shipped by OOCL that should have been, BBBY's own Patrick Hackett admitted that BBBY's NVO shipments were due to carriage shortfalls from OOCL *and other carriers*. APP-881 (Hackett Tr. 272:7-23).³⁴

Further, no BBBY witness testified about how BBBY evaluated or calculated OOCL's alleged container space shortfall (*see* Section I.i above), or about any particular container that OOCL did not carry, the contents thereof, the purchase or sales prices of the goods therein, or how or when, if ever, such container was ultimately transported. *See e.g.*, APP-2405 (Shippee Tr. 61:4-13); APP-1547 (McQuade Tr. 15:4-11); APP-1148, 1194 (Kastin Tr. 26:3-22; 210:10-23; 211:19-212:13); APP-2068 (Pinchuk Tr. 103:3-25); APP-1466, 1468-69 (McCown Tr. 118:8-14; 129:9-13; 132:6-11); APP-275-76 (Cunniff Tr. 13:24-16:18); RPFF 560-562. Instead, BBBY created appendices of containers carried by NVOs (proffered to prove up its lost profits per container claim) that bore no relation to the containers that OOCL purportedly declined to carry. RPFF 563-567. BBBY's putative liability expert Mr. McCown testified that he did not know who prepared

³⁴ OOCL has filed multiple cases before the FMC against other ocean carriers covering this same period seeking millions of dollars in damages. *See* FMC Docket No. 23-12, 20230930-DK-*Butterfly-1, Inc. v. MSC Mediterranean Shipping Company SA*; No. 24-12, 20230930-DK-*BUTTERFLY-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Evergreen Line Joint Service Agreement (FMC #011982) consisting of Evergreen Marine Corp. (Taiwan) Ltd.; Evergreen Marine (UK) Limited; Italia Marittima SpA; Evergreen Marine (Hong Kong) Ltd.; and Evergreen Marine (Singapore) Pte. Ltd.*; and No. 25-01, 20230930-DK-*Butterfly-1, Inc. v. BAL Container Line Co., Limited*.

these appendices, nor did he know if they correlated to when OOCL denied BBY's booking requests. RPFF 563.

Mr. Cunniff was tasked in the Summer of 2023 to determine the relative profitability of a container over a window of time. RPFF 708. In the spreadsheet he created for this purpose, Mr. Cunniff could not point to *any* container in the spreadsheet that was booked or attempted to be booked with OOCL that OOCL did not carry, and he did not know whether any of the shipments in his spreadsheet replaced OOCL's allegedly declined bookings. RPFF 710. He also admitted that he did not prepare Appendices A and B above or compare them against his spreadsheet to determine whether any of the containers matched. RPFF 719. Critically important is that BBY's calculation of lost profits per container is based upon BBY's fallacious allegation of OOCL's failure to meet its service contract commitments ("shortfall allegations") discussed in Section I.i above, upon which BBY relies in concert with Appendices A and B for its lost profits per container analysis. *See* APP 3794-3844 (McCown Report Appendices A-1 to B-4).

The costs of sales in the first tab of Mr. Cunniff's spreadsheet do not include sales commissions, marketing costs, or fulfillment center costs. APP-281 (Cunniff Tr. 34:8-36:3). Concerning the 14,000 or so containers identified in this tab, Mr. Cunniff did not know whether those containers were carried on the same service loops under the OOCL-BBY service contracts, and did not how many of these containers were booked or attempted to be booked with OOCL. *Id.*; RPFF 711. Mr. Cunniff said that he thought it was reasonable to assume that the profit-per-container number in his spreadsheet was based on the aggregate value of all of the goods shipped during the period he evaluated, but he did not know specifically if that was the case. RPFF 709.

Tab 2 of Mr. Cunniff's spreadsheet is an expansion of Tab 1 that identifies the products that were contained in the approximately 14,000 containers identified therein. APP-282 (Cunniff

Tr. 40:5-14). Tab 2 does not include sales commissions, marketing costs, fulfillment center costs or discounts. *Id.* (Cunniff Tr. 41:11-16). Though Tab 2 includes BBY purchase order numbers you cannot identify any purchase order numbers of containers booked or attempted to be booked with OOCL. RPFF 712.

Tab 3, Sales, identifies the sales of stock-keeping units (“SKUs”), which reflects individual product items. RPFF 713. This tab does not include sales commissions, marketing costs, or fulfillment center costs. APP-283 (Cunniff Tr. 43:3-12). The Sales Tab does not include items that went unsold, nor could Mr. Cunniff identify (for all the items in the aggregate that were shipped during this window of time) how many of those items went unsold; nor did he know whether any of the goods allegedly not carried by OOCL were ever sold. RPFF 71 (*see also* footnote 1 thereto). When coupled with the fact that neither Mr. Cunniff nor BBY’s liability expert knew which containers OOCL allegedly declined to carry with the fact that BBY’s Director of Financial Analysis did not know how many items that were shipped during the period in question actually went unsold, it is impossible to tell which—if any—of the items in the containers that OOCL purportedly declined to carry were sold. Thus, it is impossible to determine the profit per container of any of these purportedly declined containers, none of which BBY has specifically identified. Moreover, Mr. Cunniff testified:

Q It's a fair statement to say,
based upon your -- what you've done, you
haven't made any identification of the
goods that were in those containers, the
sales price of those goods, or the
purchase price of the goods for any
containers that were allegedly booked or
attempted to be booked with OOCL, that
OOCL did not carry, correct?

MR. REYNOLDS: Objection.

Mischaracterizes the allegations in
the Complaint.
You can answer.
A I did not, not to that extent.

RPFF 715. Further, Mr. Cunniff does not know whether any of the containers that were allegedly not carried by OOCL were carried by any other carrier, or whether they were ever delivered by BBY's suppliers. RPFF 717. Lastly, and most importantly, BBY's entire lost-profits claim is predicated upon a specious assessment of OOCL's purported container space shortfall. *See* Section I.i above.

The foregoing testimony of Mr. Cunniff (coupled with Mr. McCown's testimony and the specious BBY's shortfall findings of fact discussed at length above) emphatically demonstrates that there is no legitimate basis upon which to predicate a claim for lost profits per container against OOCL.

B. Complainant's "incremental expenses" claim is legally and factually deficient

As discussed in detail in Section I.i, Complainant has failed to prove its allegation that OOCL fell short of its contractual obligations to provide space on its vessels to BBY. Because there was no shortfall, BBY is not entitled to recover what it describes as the "incremental expense" of shipping cargo by other means. However, even if there were such a shortfall—which there was not—BBY has still failed to show entitlement to the damages it seeks by failing to offer any competent evidence into the record by which the Presiding Officer could rationally award damages.

In support of its incremental expenses argument, Complainant offers Mr. McCown's Appendices A-1 to A-4 and B-1 to B-4, the source, date, method and accuracy of creation, and reliability of which are all unknown. RPFF 563-564, 575. This is utterly insufficient to constitute competent evidence for awarding damages. Mr. McCown testified he did not know whether the

shipments in Appendices A-1 to B-4 correlated to any shipments not carried by OOCL that should have been. RPFF 563-564. He stated: “[w]hat I do know is that that number of FEUs correlates with the shortfall that Bed Bath & Beyond experienced with OOCL. I don’t have information on anything else that it correlates with, other than just the number of loads that were the shortfall.” RPFF 564. And Mr. McCown simply assumed the shortfall number from BBY’s Complaint. RPFF 565. Further, as stated above, BBY’s own Patrick Hackett admitted that BBY’s NVO shipments were due to shortfalls from both OOCL *and other carriers*, defeating BBY’s own claim that all the cited NVO shipments were made necessary solely by OOCL’s alleged failures. APP-881 (Hacket Tr. 272:20-23). No finder of fact could rationally award BBY damages on a random assortment of shipments with no connection to the cargo allegedly not carried.

Complainant also claims entitlement to incremental expenses relating to “OOCL’s imposition of PSS, other surcharges, and demand for premium contracts[.]” This claim is, unsurprisingly, as unfounded as the others. Complainant does not provide a breakdown between PSS (peak season surcharge), undefined “other surcharges,” and so-called premium contracts. Nor does Complainant even describe the “other surcharges.” “Other surcharges” is a phrase used once in the Complainant’s Brief and once in Mr. McCown’s Report. In neither instance is it defined. Mr. McCown testified at deposition that he simply relied on the allegations in the Complaint in opining about BBY’s entitlement to damages for “other surcharges.” APP-1472 (McCown Tr. 142:23-143:2).

Further, as explained by OOCL’s Glenn Metzger, Secondary Contracts (so-called “premium contracts”) covered different services than the annual Service Contracts, vitiating any claim that cargo was carried under the Secondary Contracts that could or should have been carried under the annual Service Contracts. If evidence existed showing an overlap, it would have been

presented. Mr. Metzger conducted a detailed analysis covering the period May 1, 2021 through September 30, 2021, about which he testified at length at deposition, to ascertain whether there was any overlap between the 2021 Service Contract and the Secondary Contract and found none. RPFF 269-271; APP RX-000612 (Ex. 387). Finally, the agreed imposition of PSS charges—industry standard practice and contractually agreed upon by BBY—was entirely appropriate and Complainant has shown zero evidence of their impropriety. There exists no evidence that any of BBY’s signatories to any of the service contracts or the amendments thereto signed them involuntarily or under duress. RPFF 634-637. BBY’s Patrick Hackett admitted that amended rates and peak season surcharges would not go into effect until the amendment was signed and filed. RPFF 638. In sum, the lack of competent evidence is so profound that even if Complainant were entitled to the classes of damages it seeks—which it is not—there is simply no basis upon which the Presiding Officer can rationally rely in setting the quantum.

C. Complainant’s reimbursement claim for detention and demurrage is legally and factually deficient

Complainant, relying entirely on generalized “supply chain disruption” to justify its failure to timely pick up and return containers, claims it is entitled to a complete refund of *every single* detention and demurrage charge assessed under the 2020 and 2021 Shipping Contracts. To quantify these supposed damages, Complainant cites to Mr. McCown’s Appendix C, which is an 84-page list of containers with detention and demurrage charges incurred. APP-3845-928 (McCown Report, Appx. C). Included are containers that landed at Los Angeles/Long Beach, New York, and Savannah. *Id.* Some of these containers went to BBY’s distribution centers, while others went to third-party facilities, some as far away from the landing port as Texas. *Id.* Mr. McCown had no information relating to all of the containers in Appendix C of his Report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation

why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL's Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. RPFF 499. Further, he testified that he had no information as to whether BBY identified if appointments were required or confirmed with its drayage providers that appointments were required. RPFF 499. McCown admitted that BBY, not OOCL, was responsible for the drayage of containers from and to marine terminals. RPFF 543. *See also* RPFF 516-524.

As shown above, Complainant cannot meet its legal burden to establish OOCL issued unlawful detention and demurrage charges by simply saying "COVID" and listing out all charges it incurred over the two years in issue. It is beyond the realm of reasonableness to assert, without evidence regarding specific charges, that no charges included in Mr. McCown's Appendix C were properly assessed. That Complainant did not undertake the effort to acknowledge this reality clearly shows it has not met its burden. Thus, even if Complainant were entitled to reimbursement of a portion of the detention and demurrage fees assessed—which it is not—its decision to throw every charge at the wall and see what sticks negates its right to recovery. To approve an award of reparations based on a wholly conclusory and all-inclusive spreadsheet with nothing more than what Complainant has offered would undoubtedly constitute reversible error.

Complainant also neglects to address its own purported expert's opinion that, even if the assessed detention and demurrage charges were unreasonable, "[a] more reasonable calculation" would be either OOCL's actual carrying costs or "relevant benchmarks such as the rates charged

by Trailer Bridge[.]” APP-3792 (McCown Report ¶ 185). Looking to either of those numbers, which McCown suggests is “reasonable,” would reduce BBY’s claim for reimbursement significantly. *Id.* Yet Complainant made no such calculation. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

has further produced no evidence of any retaliatory conduct or refusal to negotiate by OOCL. Even if such claims had merit—which they do not—there can of course be no doubling because there are no underlying provable damages.

IV. The Complaint fails to state claims for Count I, III, IV, and V, and the Commission Lacks Jurisdiction.

A. Continuing deregulatory efforts begun in 1984, Congress in 1998 sharply curtailed FMC authority to regulate service contract terms and performance

All of BBBY’s claims arose between 2020 and 2022. In its First Amended Complaint, BBBY maintains that 46 U.S.C. §§ 41102(c), 41104(a)(2)(as in effect prior to the enactment of the Ocean Shipping Reform Act of 2022) provide the Commission with broad authority to regulate the reasonableness of service contract terms, conditions and performance, including vessel-space allocations, for service provided pursuant to a service contract. Embracing this approach would represent a novel and dramatic reimagining of these statutory provisions to “discover” expansive and transformative new regulatory powers in statutory text 25-years old or more. Such a reinterpretation of these statutory provisions would be inconsistent with both the statutory text itself, the context and intent behind the OSRA 1998, and FMC precedents and policies applying OSRA 1998 over the past quarter century. In OSRA 1998, Congress purposefully and extensively deregulated carrier services provided pursuant to service contracts, leaving the Commission with only narrow and specifically delineated powers over shipping lines’ contract services.

As expressed in Respondents’ Third Affirmative Defense, Complainant’s ambitious new interpretations of Sections 41102(c), 41104(a)(2) and (10) exceed the scope of those statutes, and the Commission lacks the authority to afford BBBY the relief it seeks. Complainant’s invitation to extensively reinterpret the 1998-2022 version of the Shipping Act—in effect, to pour new wine from old bottles—is exactly the sort of regulatory overreach that the Supreme Court has rejected and curtailed in its recent administrative law jurisprudence. *Loper Bright Enterprises v. Raimondo*,

144 S.Ct. 2244, 2273 (2024) (“courts need not and under the APA may not defer to an agency interpretation of the law simply because a statute is ambiguous”).

To illustrate the constraints on the Commission’s authority in this area, it is instructive to examine the changes to the Shipping Act made by OSRA 1998. But even before 1998, the amendments of 1961 (Pub. L. No. 87-346 (October 3, 1961)) and Shipping Act of 1984 started Congress’ continuing march towards deregulation of the Shipping Act, 1916 that the Ocean Shipping Reform Act of 1998 would later continue, and included provisions that allowed ocean carriers to contract individually with shippers under service contracts binding shippers and carriers upon FMC approval. P.L. No. 87-346, 75 STAT 726 (October 3, 1961) (H.R. 6775) (Sec. 14b, Shipping Act, 1916 Amendments) and curtailed further Commission previously had over service contract rates. Pub. L. No. 98-237, 98 STAT 75 (March 20, 1984), Section 10(b)(6), (11); and repealing Section 17, First, Shipping Act 1916, Section 20 (b)(8) of the Shipping Act of 1984. 98 STAT. 89.³⁷ The 1984 Act specifically carved out prohibitions on rate discrimination (“*except for service contracts*, engage in any unfair or unjustly discriminatory practice in the matter of (A) rates...”). Shipping Act of 1984, Section 10(b)(6)(A). 98 STAT. 78 (emphasis added).

The Commission’s already limited authority to examine service contract terms and practices was eliminated from the Shipping Act by OSRA 1998. OSRA 1998 continued the prohibitions in separate subsections for tariff service (with very broad prohibitions) on the one hand, and service-contract service (with very narrow prohibitions reaching only port-, locality-, and “status”-based discrimination) on the other. The textual changes in the relevant sections of the law made in 1998 are set out at Figure 1 in redline, below.

³⁷ The remaining provisions of the Shipping Act, 1916 were repealed by the ICC Termination Act of 1995, Pub. L. No. 104-88, 109 STAT. 953 (Dec. 29, 1995).

FIGURE 1: How Did OSRA Change the Section 10(b) “Prohibited Acts”?

Section 10. Prohibited acts

* * *

(b) Common carriers. No common carrier, either alone or in conjunction with any other person, directly or indirectly, may—

* * *

~~(3)(5)~~ retaliate against any shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason;

~~(4)(6) except for service contracts,~~ for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of—

(A) rates or charges;

(B) cargo classifications;

(C) cargo space accommodations or other facilities, due regard being had for the proper loading of the vessel and the available tonnage;

(D) the loading and landing of freight; or

(E) the adjustment and settlement of claims;

(5) for service pursuant to a service contract, engage in any unjustly discriminatory practice in the matter of rates or charges with respect to any port;

~~(6)(7) employ a fighting ship; use a vessel or vessels in a particular trade for the purpose of excluding, preventing, or reducing competition, by driving another ocean common carrier out of that trade;~~

~~(7)(8) offer or pay any deferred rebates;~~

~~(9) use a loyalty contract, except in conformity with the antitrust laws;~~

~~(10) demand, charge, or collect any rate or charge that is unjustly discriminatory between shippers or ports;~~

~~(11) except for service contracts, make or give any undue or unreasonable preference or advantage to any particular person, locality, or description of traffic in any respect whatsoever;~~

~~(12) subject any particular person, locality, or description of traffic to an unreasonable refusal to deal or any undue or unreasonable prejudice or disadvantage in any respect whatsoever;~~

~~(13) refuse to negotiate with a shippers' association;~~

(8) for service pursuant to a tariff, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage;

(9) for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port;

(10) unreasonably refuse to deal or negotiate;

* * *

Under OSRA 1998, the Commission’s authority to regulate service contracting was specifically limited to three narrow prohibitions, none of which are at issue in this case: (1) status-based discrimination against ocean transportation intermediaries; (2) unjust discrimination against ports; and (3) undue prejudice regarding localities. The post-OSRA 1998 Shipping Act provides

no provision on which BBY can construct a claim of unreasonable practices with regard to its individual service contract terms and performance.

The Senate Report that accompanied OSRA 1998 explains how application of the Prohibited Acts to service contract carriage was purposefully limited:

New sections 10(b)(5) and (9) substantially increase the discretion given to common carriers to provide different service contract terms to similarly situated shippers. In addition to eliminating the current requirement in section 8(c) of the 1984 Act that ocean common carriers provide the same service contract terms to similarly situated shippers, the bill narrows the application of the prohibited acts with respect to service pursuant to common carrier service contracts. Sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would restrict common carrier service contracting flexibility in only three, narrow, ways. First, sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would protect localities from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts. Second, the amendments made by this section would retain similar protections for ports from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts as currently exist under the 1984 Act through references to ports and localities. Third, the amendments made by this section would protect shippers and ocean transportation intermediaries from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts due to their status as shippers' associations or ocean transportation intermediaries.

S. REP. NO. 105-61, at 28 (1997) (emphasis added). It is clear from this legislative history that Congress sharply limited the Commission's authority to regulate service contracts and did not authorize or expect the FMC to recreate new causes of action under the Shipping Act *sua sponte* to re-regulate and adjudicate alleged unreasonable individual service contract terms or practices.

When the Commission was considering OSRA 1998, it clearly understood that its' legislative changes would expressly "authorize carriers . . . to discriminate in unjust or unreasonable ways in their contracting." In fact, the Commission suggested that Congress reconsider. In March 1997, then-Chairman Harold Creel testified before the Subcommittee on Surface Transportation and Merchant Marine of the Senate Commerce Committee:

Section 10(b)(9) would also allow carriers and conferences to subject shippers, forwarders, ports and others to "undue or unreasonable prejudice or disadvantage." These prohibited acts formerly applied to all service contracts. Under the bill they apply to none. While I appreciate that service contracts are inherently "discriminatory" in that the signatories get better deals than non-signatories, these prohibited acts proscribe unjust discrimination and unreasonable prejudice. There is no reason to authorize carriers and conferences to discriminate in unjust or unreasonable ways in their contracting. For example, a foreign carrier should not discriminate against a U.S. shipper in order to promote a fellow national. Nor should ports be lawfully subjected to unduly, unreasonably prejudicial preferences. I would therefore urge that Congress carefully consider whether carte blanche authority for carriers and conferences to unjustly and unreasonably disadvantage shippers, ports and forwarders is truly in the best interest of the United States.

Remarks of Commissioner Harold J. Creel Jr., March 20, 1997.³⁸ The Senate Committee accepted some of the Commission's suggestions (*i.e.*, to restore reasonableness protections to protect ports, and to regulate multi-carrier contracts) in the final OSRA 1998 bill (S. 414). However, the Senate largely held firm to its deregulatory objectives, and thus did not restore the Commission's power to regulate the reasonableness of individual service contracts and service pursuant thereto.³⁹

On April 21, 1998, lead OSRA 1998 sponsor Senator Kay Bailey Hutchison took to the Senate floor and laid out how and why OSRA 1998 should continue its de-regulatory trajectory, allowing carriers more market flexibility and further eliminating prohibitions on discriminatory treatment of shippers and ocean transportation intermediaries in individual service contracts. Senator Hutchison stated:

The most significant benefit of S. 414 is that it will provide shippers and common carriers with greater choice and flexibility in entering into contractual relationships for ocean transportation and intermodal services. It accomplishes this through seven specific changes to the Shipping Act of 1984. It allows multiple shippers to be parties to the same service contract. It allows service contracts to specify either a percentage or quantity of the shipper's cargo subject to the service contract. It prohibits multiple-ocean common carrier cartels from restricting cartel members

³⁸ S. Hrg. 105-57, *S. 414, the Ocean Shipping Reform Act of 1997*, p. 45.

³⁹ S. Rept. 105-61, *Ocean Shipping Report Act, Report of the Committee on Commerce, Science, and Transportation on S.414*, p. 21 ("The Committee believes that the right of individual and independent service contracts is the most important change made by the bill and is intended to develop an efficient and market-responsive ocean carrier industry.").

from contracting with shippers of their choice independent of the cartel. It allows service contract origin and destination geographic areas, rates, service commitments, and liquidated damages to remain confidential. ***It eliminates the requirement that similarly situated shippers be given the same service contract rates and service conditions. It eliminates the current restrictions on individual common carriers engaging in discriminatory, preferential, or advantageous treatment of shippers and ocean transportation intermediaries in service contracts*** (while retaining those restrictions for groups of common carriers and strengthening prohibitions against refusals to deal or negotiate by individual common carriers). It allows groups of ocean common carriers to jointly negotiate inland transportation rates, subject to the antitrust laws and consistent with the purposes of the 1984 Act.

144 Cong. Rec. S3306, Ocean Shipping Reform Act of 1997 (emphasis added).

BBBY’s efforts to imaginatively reinterpret the 1998-2022 version of the Shipping Act to regulate service-contract rates, terms, and performance are fatally inconsistent with clear statutory limitations on FMC power imposed by Congress and should have been rejected at the motion to dismiss stage. *See, Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 33 S.R.R. 512 (I.D. Granting Motion to Dismiss 2014) (dismissing a complaint for lack of jurisdiction in part and failure to state a claim for alleged unreasonable and discriminatory service-contract practices, alleged refusal to deal and failure to conform to an alleged contractual course of dealing).

The alleged Shipping Act violations in this case occurred before the Ocean Shipping Reform Act of 2022. Consequently, for claims accruing prior to June 16, 2022—which in this case encompasses all of the freight, demurrage and detention-related claims during Shipping Years 2020 and 2021—the FMC is bound by the deregulatory legislative scheme set out in the Shipping Act as amended by OSRA 1998 and must decide the case within those strictures. Any other outcome by the Commission would invite (indeed command) a reversal on appeal.

Over the past two years, the federal judiciary, and in particular the Supreme Court, has reaffirmed and strengthened the “major questions doctrine,” which further curtails deference for agencies that seek to reinterpret statutory authorities to afford themselves expansive new

regulatory powers. The Supreme Court recently reaffirmed its major questions doctrine in *Biden v. Nebraska*, 600 U.S. --, 143 S.Ct. 2355, 2374, 2023 WL 4277209 (June 30, 2023), which the Court announced in *West Virginia v. EPA*, 142 S.Ct. 2587, 2609, 213 L.Ed.2d 896 (2022), stating:

In certain extraordinary cases, both separation of powers principles and a practical understanding of legislative intent make us “reluctant to read into ambiguous statutory text” the delegation claimed to be lurking there. *Utility Air*, 573 U.S. at 324, 134 S.Ct. 2427. To convince us otherwise, something more than a merely plausible contextual basis for the agency action is necessary. The agency instead must point to “clear congressional authorization” for the power it claims.

Id. The Court noted that the doctrine addresses “a particular and recurring problem: agencies asserting highly consequential power beyond what Congress could reasonably understood to have been granted.” *Id.* That recurring problem permeates this case. While this Tribunal has allowed BBY to pursue extensive and expensive discovery against OOCL for claims of allegedly overcharging BBY for freight, demurrage and detention, and the alleged failure to honor its service contract commitments, such claims sound in breach of contract, over which the Commission possesses no jurisdiction and warrant dismissal.

B. The Federal Maritime Commission lacks authority over profits or prices in foreign trade

Congress chose deliberately not to confer on the Commission any authority over profits or prices in the U.S.-foreign trades.⁴⁰ As the Presiding Officer explained in *Samsung Electronics*

⁴⁰ Although the Commission has never had authority to determine the “reasonableness” of prices, revenues, or profits for ocean transportation in the U.S.-foreign trades, it did at one time have such authority over transportation in the offshore domestic trades (e.g., U.S. Mainland to/From such places as Hawaii, Guam, and Puerto Rico). *See, e.g.*, FMC Docket No. 89-26, *The Government of the Territory of Guam, et. al. v. Sea-Land Service, Inc. and American President Lines, Ltd.*, 2003 WL 27376001 (August 29, 2003) (Final Commission Order issued July 11, 2005). Congress removed that authority from the Commission in 1995 and conferred that authority instead on the Surface Transportation Board. ICC Termination Act of 1995, Pub. L. No. 104-88, § 201, 109 Stat. 803, 932-34 (1995).

America, Inc. v. Zim., 2023 WL 4060326, at *2 (June 9, 2023): “Making a profit or increasing income, without more, would not violate the Shipping Act.”

The FMC has no authority to determine the “reasonableness” of prices, revenues, or profits for ocean transportation in the U.S.-foreign trades. Under the Shipping Act of 1916, it did have more specific and limited authority over rates, as discussed below, but that authority was withdrawn by the Shipping Act, 1984. And it did from 1984-1995 have authority over revenues and rates for transportation solely in the domestic noncontiguous trades (e.g., U.S. Mainland to/from such places as Hawaii, Guam, and Puerto Rico).⁴¹ Congress deliberately withdrew that authority from the FMC in 1995, conferring it instead on the Surface Transportation Board.⁴²

The FMC has repeatedly recognized it has no authority under the 1984 Act over rate levels and ancillary charges in the U.S.-foreign trades. In *Notice of Inquiry Concerning Use and Effect of Surcharges by Common Carriers and Conferences*, 26 S.R.R. 108, 119 (1992), for example, the FMC responded to shipper complaints that surcharges inflated shipping rates as follows:

“The Commission will assume that carriers’ general pricing strategies, which include heavy reliance on use of surcharges, must prove advantageous to carriers . . . We note, however, that “the Commission **does not** have statutory authority to regulate the level of rates charged, nor does the 1984 Act prohibit carriers from seeking to earn profits.”

Id. at 121: “rate regulation is not an authorized function” under the 1984 Act.

In *Regulation of Military Rates Under the Shipping Act of 1984*, 1992 WL 366155 at *5 (emphasis added), the Commission again recognized that the 1984 Act had stripped the Commission of all authority over rates in foreign commerce. It thus asked interested parties to address, *inter alia*, the following question: “Given that past proceedings have focused on the level

⁴¹ See, e.g., *The Government of the Territory of Guam, et. al. v. Sea-Land Service, Inc. and American President Lines, Ltd.*, FMC Docket No. 89-26, 2003 WL 27376001 (August 29, 2003); *Matson Nav. Co., Inc. v. Federal Maritime Commission*, 959 F.2d 1039 (D.C. Cir. 1992).

⁴² ICC Termination Act of 1995, Pub. L. No. 104–88, § 201, 109 Stat. 803, 932–34 (1995).

of military rates and that *the Commission no longer has any authority to regulate the level of rates in the foreign trades*, is there any valid regulatory purpose in subjecting military to any or all of the requirements of the 1984 Act.”

It may also be useful to elaborate briefly on the history of the Commission’s authority over the reasonableness of rates - first gained in limited scope under the 1916 Act, then deliberately removed by Congress in the 1984 Act. Under the 1916 Act, the FMC had limited authority to address rates, in two specific ways under specified circumstances. The Commission was empowered to “disapprove any rate or charge filed by a common carrier,” but only if such rate was found to be “so unreasonably high or low as to be detrimental to the commerce of the United States.” Former Section 18(b)(5), Shipping Act, 1916, 46 U.S.C. app sec. 817(b)(5).

In addition to this quite limited authority to reject rates based on their effect on commerce, the FMC also had limited authority over discriminatory rates:

“No common carrier by water in foreign commerce shall demand, charge, or collect any rate, fare, or charge which is unjustly discriminatory between shippers or ports, or unjustly prejudicial to exporters of the United States as compared with their foreign competitors. Whenever the commission finds that any such rate, fare, or charge is demanded, charged, or collected it may alter the same to the extent necessary to correct such unjust discrimination or prejudice and make an order that the carrier shall discontinue demanding, charging, or collecting any such unjustly discriminatory or prejudicial rate, fare, or charge.”⁴³

Former Section 17 (first paragraph) of the Shipping Act, 1916.

As recognized by the Commission (see above), Congress removed *in toto* the FMC’s authority over ocean freight rates in the U.S. foreign trades when it enacted the Shipping Act of 1984, which repealed both Section 18(b)(5) and the above-quoted portion of Section 17. *See*

⁴³ As the Supreme Court noted, this former portion of Section 17 prohibited “any charge or rate unjustly discriminatory between shippers or ports, etc., and gives the board authority to alter the same to the extent necessary to correct the discrimination or prejudice, and to order the carrier to discontinue.” *United States Navigation Co. v. Cunard S.S. Co.*, 284 U.S. 474, 484 (1932).

Shipping Act of 1984, [Pub. L. No. 98-237, 98 Stat. 89](#), Sec. 20(a), 20(b)(8) (Mar. 20, 1984). As the FMC summarized in *Elinel v. Sea-Land Service*, 26 S.R.R. 1220(ALJ), adopted, 26 S.R.R. 1399, 1401 (FMC 1994) (emphasis added) (“Although the Commission continues to have jurisdiction under the Shipping Act 1916, 46 U.S.C. app. 817, and the Intercoastal Shipping Act, 1933, 46 USC app 841-848, to determine the reasonableness of rates *in the domestic offshore trades*, no such authority exists with respect to the U.S. foreign commerce, which is regulated under the 1984 Act.”).

The Commission specifically reaffirmed this statement on exceptions, saying: “Although the Commission continues to have jurisdiction under the Shipping Act, 1916... and the Intercoastal Shipping Act, 1933, to determine the reasonableness of rates in the *domestic* offshore trades,⁴⁴ *no such authority exists with respect to the U.S. foreign commerce*, which is regulated under the 1984 Act.” *Elinel*, 26 S.R.R. at 1401.⁴⁵

The Commission’s then-Chairman Daniel Maffei himself recently testified regarding the limitations of the FMC’s authority in an exchange with Senate Commerce Committee Chair Cantwell at a hearing on the Ocean Shipping Reform Act of 2022:

Chairman Maffei: Yeah, under current law, well, under current law, *a rate, no matter how high in itself is not unreasonable*. It would be how that rate was arrived on, it’s an alliance, how they got to that rate.

Senator Cantwell: It’s not about alliances, it was found in so many aspects of manipulation of oil and natural gas when we set new laws, because it wasn’t about collusion. It wasn’t about somebody coming together and setting a price. It’s about whether you have a market condition that basically serves the customer, and you have small customers here who are not getting served is the issue. And they can’t get their products out of our ports, importers can’t get their products out,

⁴⁴ As noted above, Congress soon thereafter withdrew even this rate authority from the FMC.

⁴⁵ To like effect see, e.g., Petition of Agriculture Ocean Transportation Coalition For Rulemaking To Prescribe Standards For Terminal Handling Charge And Other Surcharges, 1991 WL 383096 at *3 (FMC 1991)(emphasis added)(“the legislative history of the 1984 Act indicates that the Commission was **not** intended to have general statutory authority to set ocean freight rates or charges as such, nor does anything in the Act suggest that the Commission has such authority”).

because they can make more money being exporters to the United States than bringing our product back to Asia.

Chairman Maffei: There's no doubt that your observations are well taken. And your points are right. This bill, the last bill was written in 1986 [sic], 36 years ago. We didn't have mobile phones. I mean, the industry has changed so much. That's why it's so important that we update it. Now we don't have the authority to regulate rates. We don't have the authority to say that rates [are] too high. We don't have the authority to say you have to pay some attention to small businesses. You can't just pay attention to the big box stores. We don't have that authority. I wish you know, sometimes I wish we did.⁴⁶

In sum, although the Commission may sometimes wish for sweeping authority to prescribe or regulate carrier rates, only Congress is empowered to grant such wishes. It has not done so.

The Commission's lack of authority over the reasonableness of rates applies just as much to ancillary charges and surcharges as it does to the underlying rate for ocean freight, as demonstrated by *Notice of Inquiry Concerning Use and Effect of Surcharges*, and *Petition of AGOTC*, above. Rather, as the Commission there recognized, such charges are all part of the total freight rate.⁴⁷ The Commission has no authority to tell an ocean common carrier that it must charge \$3,000 rather than \$5,000 to transport a twenty-foot container from Ningbo to Seattle, for example. Likewise, and contrary to Mr. McCown's assertions, the Commission has no authority to tell an ocean common carrier or an NVOCC that it **may not** charge a specific quantum set by the carrier for a particular ancillary charge/surcharge, such as a heavy lift charge, fuel surcharge, detention or demurrage, or tell the carrier it **may only** charge rates at levels more to the Commission's liking.

⁴⁶ Senate Commerce Committee, Hearing on the Ocean Shipping Reform Act of 2022 (March 3, 2022) (emphasis added) (available at <https://www.commerce.senate.gov/2022/3/executive-session-and-hearing>) (03032022 Oceans Shipping Act Transcript.pdf (senate.gov)).

⁴⁷ Thus, the Commission's regulations say: "**Basic ocean freight.** The minimum rate display for tariffs must consist of the basic ocean freight rate and a list of all assessorial charges and surcharges that apply for the retriever-entered shipment parameters. The tariff must indicate when other rules or charges apply to a shipment under certain circumstances." 46 C.F.R. 520.6 (e) (emphasis in original). Likewise, the tariff must: "State separately each terminal or other charge, privilege, or facility under the control of the carrier or conference and any rules that in any way change, affect, or determine any part or the total of the rates or charges." 46 C.F.R. 520.4(a)(4).

Indeed, and in keeping with its own Incentive Principle, as the D.C. Circuit recently explained, a higher detention charge may be expected to have a greater incentive effect than a smaller charge. *Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm'n*, 106 F.4th 1113 (D.C. Cir. 2024).

C. 46 U.S.C. § 40502(f) forecloses FMC jurisdiction and thus § 41104(a)(2) does not apply to Complainant's claims

46 U.S.C. § 40502(f) states: “Unless the parties agree otherwise, the *exclusive remedy* for a breach of a service contract is an action in an appropriate court.” (Emphasis added). As detailed below, Commission precedent makes clear that Congress’s choice to entrust claims in the nature of a contract breach to the courts, rather than the FMC, cannot be avoided by simply relabeling claims for contract nonperformance as Shipping Act violations, or by inserting magic words (e.g., “*systematically*”) in a pleading. Rather, the Commission must assess jurisdiction based on the specific facts proven in the case. When the complainant’s claim is an alleged violation of § 41104(a)(2), the strong presumption is that jurisdiction lies in the federal courts, except where the complainant demonstrates extraordinary circumstances taking the particular claim out of the judicial realm.

Count III of the First Amended Complaint alleges Respondents violated 46 U.S.C. § 41104(a)(2). That section of the Shipping Act (46 U.S.C. § 41104(a)(2), known prior to codification as Section 10(b)(2) of the Shipping Act of 1984) prohibits an ocean common carrier from providing service in the liner trade that is “not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under . . . this title.” On its face, the prohibition against deviating from service contract terms sounds exactly like a breach of contract.

In crafting the Shipping Act of 1984, Congress expressly determined, as it earlier had for land transportation, that, when it came to transportation under service contracts, as opposed to

tariffs, the *courts*, rather than the FMC, should have jurisdiction over claims that a carrier failed to adhere to its contract or failed to perform thereunder. Sec. 20, Shipping Act of 1984, 98 Stat. 88, *repealing* Sec. 14b, Pub.L. No. 87-346 (October 3, 1961). Accordingly, Congress inserted in the new Act the section formerly known as Section 8(c) and now codified as 46 U.S.C. § 40502(f), quoted above. [Pub. L. 98-237, § 8\(c\), Mar. 20, 1984, 98 Stat. 75](#) (“The exclusive remedy for a breach of a contract entered into under this subsection shall be an action in an appropriate court, unless the parties otherwise agree.”); restated [Pub. L. 105-258, title I, §106\(b\), Oct. 14, 1998, 112 Stat. 1905](#), appearing prior to 2006 recodification ([Pub. L. 109-304, §7, Oct. 6, 2006, 120 Stat. 1533](#)) as 46 U.S.C. App. § 1707(c)(1) (2d, last sentences). Congress reaffirmed its deliberate choice when it revised the Shipping Act in 1998: “[t]he bill would *retain* the 1984 Act provision providing that the exclusive remedy for a breach of a service contract is an appropriate court, *not the FMC*.”) S. Rep. 61, 105th Cong., 1st Sess., p. 23 (1997) (emphasis added). This section, by its plain language, specifically deprives the Commission of jurisdiction to hear claims in the nature of breach of contract claims, such as failure to provide service in accordance with a service contract.

The Commission itself has expressly recognized this plain and clear congressional determination that claims in the nature of breach of contract, *explicitly including claims under 46 U.S.C. § 41104(a)(2)*, may *not* be heard by the FMC. In the leading case, *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 2000 WL 1648961, at *14 (FMC 2000) (emphasis added), for example, the Commission stated:

“We find that as a general matter, *allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim*. In contrast, whether the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.”

More specifically on point to the current matter, the Commission made clear in *Cargo One* that, absent very unusual circumstances, any claim that a carrier violated 46 U.S.C. § 41104(a)(2) ***is the equivalent of a breach of contract claim*** and so must be dismissed. There, the Commission mandated that jurisdiction be determined on a claim-by-claim, statutory section-by-section, basis.

To help Administrative Law Judges sort through the various claims that could or could not be heard before the FMC, the Commission created two categories of claims that would be presumptively within the jurisdiction of the FMC and those that would be presumptively outside its jurisdiction. As to the first category, the Commission specifically said that claims based on discrimination, preference or prejudice, for example, would, as a general rule, be “appropriately brought before the Commission” because they rely on matters specific to the Shipping Act. But as directly relevant here, the Commission also stated that claims under 46 U.S.C. § 41104(a)(2) were “***substantially contract claims***,” and so should be dismissed. In this respect, the Commission explained that all claims under § 41104(a)(2):

are premised on the obligation to meet one’s contract commitments and ***are therefore essentially breach of contract actions*** which Section 8(c) renders not properly before the Commission in the absence of evidence offered by the complainant . . . that some ***extraordinary*** aspects of the allegation ***distinguish it substantially*** from a contract claim.⁴⁸ 2000 WL 1648961, at *15.

The Commission’s language here, which Complainant does not even mention, much less address, is clear and unmistakable – 46 U.S.C. § 40502(f) precludes the FMC from addressing claims under § 41104(a)(2), except in rare circumstances, where a complainant adduces evidence

⁴⁸ This distinction between claims under § 41104(a)(2), which are essentially breach of contract claims, and those that implicate the special jurisdiction of the FMC was reaffirmed in *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006), where the Commission stated: “[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any disputes previously addressed by the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties.”

of “extraordinary aspects” of its case that “distinguish it substantially from a contract claim.”⁴⁹ BBY has not proven (or even suggested), any such extraordinary difference from a contract case. BBY glancingly cites *Cargo One*, but ignores the critical language quoted above. It similarly disregards the following Commission explanation in *Cargo One*:

For [46 U.S.C. § 40502(f)] to have meaning, it must have been intended to preclude the filing of ***some complaints of Shipping Act violations***, and ***not just breach of contract claims***, as such claims would not be actionable before the Commission in any event.

2000 WL 1648961, at *14 (emphasis added). Thus, *Cargo One* squarely recognizes: (i) that “some complaints of Shipping Act violations” must be precluded by § 40502(f), and (ii) that the category of claims precluded by 46 U.S.C. § 40502(f) includes claims under 46 U.S.C. § 41104(a)(2), except perhaps in rare circumstances that BBY has not argued are present here. What this plainly means is that BBY may not confer jurisdiction on the FMC merely by saying “46 U.S.C. § 41104(a)(2),” instead of “breach of contract.” Any other interpretation of 46 U.S.C. § 40502(f) would, as the Commission identified in *Cargo One*, render 46 U.S.C. § 40502(f) utterly meaningless.⁵⁰

Other FMC ALJs have recognized that this aspect of *Cargo One* precludes adjudication of claims under § 41104(a)(2). Judge Dolan so held in the remand of *Cargo One*, stating that “it seems clear that the Commission intended that the ALJ dismiss the complaint herein as to [46 U.S.C.

⁴⁹ The benefit of a full record was identified by the Commission in both quotations above from *Cargo One*: (i) certain claims (other than § 41104(a)(2)) are presumed within the FMC’s jurisdiction “unless the facts ***as proven*** do not support such a claim”; and (ii) claims under § 41104(a)(2) are outside the Commission’s purview “in the absence of ***evidence*** offered by the complainant . . . that some extraordinary aspects of the allegation distinguish it substantially from a breach claim.” 2000 WL 1648961, at *14-15.

⁵⁰ As the Commission explained in *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1220 (FMC 1990): “Courts have made it clear that federal agencies must give effect to every word of as statute so that no part will be rendered inoperative, superfluous, void or insignificant.” See, e.g., *National Association of Recycling Industries, Inc. v. ICC*, 660 F.2d 795, 799 (D.C. Cir. 1981); *In re Surface Mining Regulation Litigation*, 627 F.2d 1346, 1362 (D.C. Cir. 1980).

41104(a)(2)].” 29 S.R.R. 620, 621 (ALJ, Admin. Final 2002). And in *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 33 S.R.R. 512 (I.D. Granting Motion to Dismiss 2014), Judge Guthridge likewise identified that certain of complainant’s claims, including: (i) that the respondent had failed to observe certain terms of the contract created by a course of dealing; (ii) that actions by the respondent made it impossible for complainant to book cargo, (iii) that the respondent failed to provide necessary administrative support; and (iv) that respondent failed to address *the MQC shortfall*, could **not** be heard before the FMC, because they were all “inherently contract claims reserved for the arbitrator and are not within the Commission’s jurisdiction to decide.” *Id.* at 528.

The Commission has recently re-affirmed in its recent Supplemental Notice of Proposed Rulemaking (“SNPRM”) that breach of contract claims are outside its authority, stating: “Although the Commission does have jurisdiction over 46 U.S.C. § 41104(a) violations, breach of contract claims are not within the Commission’s jurisdiction.” *Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier*, 88 Fed Reg 38790, 38795 (June 14, 2023). The Commission further explained:

service contracts are key to ocean carriage and the intent of the rule is not to dictate a return to carriage under tariff, nor is it intended to interfere with the substance of service contracts reached between parties. Presumably, an enforceable service contract would not allow for the type of conduct that the Commission would be likely to consider an unreasonable refusal to deal or negotiate, and ***if a service contract is materially breached, the parties have remedies that are beyond the Commission’s purview.***

Id. at 38797. BBBY rests its argument to the contrary on a few decisions that it says render the law as “well settled” in its favor. It relies in particular on recent initial decisions in *OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11, 2022 WL 538935 (A.L.J. Feb. 18, 2022), and *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, Initial Decision on Default (A.L.J. Jan. 13, 2023). However, neither of those cases analyzed or applied the analytical framework in

Cargo One. Instead, they relied on the dubious proposition that if you call a breach of contract claim a violation of 46 U.S.C. § 41104(a), the simple change of wording magically transforms a case for the courts into a case for the FMC. If this were so, there would have been no need for the FMC to set out the elaborate framework it created in *Cargo One*; nor would there have been reason for it to say, as it did, that claims under 46 U.S.C. § 41104(a) are presumptively for the courts. Perhaps more importantly, the federal courts of appeals are sure to recognize that these types of decisions eviscerate Congress's intent, leaving just a dry and empty husk of meaningless words. Congress certainly did not go through the trouble of creating and reaffirming this division of jurisdiction just to see it ignored by the FMC.

The full Commission's decision in *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11, 2024 WL 40334610, at *9 (FMC Aug. 27, 2024), affirmed the initial decision by the ALJ, cited *Cargo One*, and said:

The Commission did state in the *Cargo One* decision that allegations essentially comprising contract law claims should be dismissed unless the complainant successfully rebuts "the presumption" that the claims are no more than simple breach of contract claims. *Cargo One*, 28 S.R.R. at 1645. But in the next sentence, the Commission stated that the Commission would likely presume a case is correctly before the Commission where the alleged violation raises issues beyond contractual obligations. Here, OJC did not allege breach of contract claims and instead alleged violations of the Shipping Act. Accordingly, HSDG's argument that the ALJ failed to address a presumption that does not exist and in any case would have been easily overcome by the evidence OJC proffered is not persuasive.

Nevertheless, that case involved claims for retaliation and refusal to deal. While those claims are also alleged here, OOCL does not seek their dismissal because they sound in breach of contract. Instead, OOCL seeks dismissal of each claim alleged by Complainant grounded on OOCL's purported failure to meet its contractual obligations. Clearly, those claims fall within the ambit of alleged breaches of contract, permeate Complainant's Amended Complaint, and must be dismissed because they are beyond the FMC's jurisdiction. See discussion in Section D below.

D. Complainant has failed to show subject matter jurisdiction over Count I under § 41102(c)

It is of course the Complainant's burden to prove that the Commission possesses subject matter jurisdiction over each of its claims.⁵¹ Complainant's only attempt to prove subject matter jurisdiction is the essentially meaningless assertion that any allegation of a Shipping Act violation conveys subject matter jurisdiction. But that assertion is wrong. The Commission lacks subject matter jurisdiction over Count I because Congress has deliberately placed exclusive jurisdiction over the matters alleged with the federal courts. Indeed, it has done so twice – once in the Judiciary Act of 1793 and again in the Shipping Act itself.

Complainant's assertion that OOCL violated the Shipping Act by reason of OOCL's purported "failure to meet service commitments under the Service Contracts" is at its core, an allegation that OOCL breached the service contracts. As discussed above in connection with 46 U.S.C. § 41104(a), failing to meet a contract commitment is the very essence of a breach of contract.⁵² But the task of interpreting what the service commitments in a service contract mean and determining whether OOCL breached such contractual commitments is not a matter for the FMC. Rather, it is, as it has been ever since the founding of this country, a matter reserved exclusively for the courts under both the Judiciary Act of 1789 and 46 U.S.C. § 40502(f). The

⁵¹ See, e.g., *Kawasaki Kisen Kaisha, Ltd. v. Intercontinental Exchange, Inc.*, Docket 00-01, 2001 WL 633643 at n.2 (ALJ May 2, 2001) ("[a]s the party invoking the Commission's jurisdiction, complainant has the burden of showing that such jurisdiction exists and, in this case, to show why the Commission retains jurisdiction notwithstanding section 8(c)(1) of the 1984 Act which specifies that the 'exclusive remedy for a breach of contract ... shall be in an action in an appropriate court'"); *Dukart v. Ocean Star International Inc.*, Docket No. 20-03, 2020 WL 3994385 at *4 (ALJ July 20, 2020) ("The 'party asserting subject-matter jurisdiction, has the burden of proving its existence.'").

⁵² As defined by the Legal Information Institute: "A breach of contract occurs whenever a party who entered a contract fails to perform their promised obligations." https://www.law.cornell.edu/wex/breach_of_contract. Or as the dictionary says, a breach of contract is a "failure to do what a contract requires."

Judiciary Act of 1789, currently codified at 28 U.S.C. § 1333(1), provides the federal courts with generally exclusive jurisdiction over claims in admiralty or maritime law.⁵³

BBBY's claims under Count I of the Complaint are properly, and hence exclusively, cognizable in a Federal district court pursuant to its admiralty jurisdiction. Count I is expressly based on service contracts issued by OOCL for ocean transportation between the United States and a foreign country. Such service contracts, as well as the bills of lading implementing the contracts, are indisputably "maritime contracts." See, e.g., *CNA Insurance Co. v. Hyundai Merchant Marine Co.*, 747 F.3d 339, 368 (6th Cir. 2014) ("Here, the Service Contract governs the carriage from Harrodsburg to Tainan, a journey which contains substantial sea carriage, making the Service Contract a "maritime contract."); *Norfolk Southern R. Co. v. James N. Kirby Pty, Ltd.*, 543 U.S. 14, 24-25 (2004) (bills of lading are maritime contracts even though the last leg, during which the underlying issue arose, was by rail and stating (at 23) that "[i]nterpretation of maritime contracts stems from the Constitution's grant of admiralty jurisdiction to federal courts"); *Thypin Steel Co. v. Asoma Corp.*, 215 F.3d 273, 277 (2d Cir. 2000) ("A bill of lading for ocean carriage is a maritime contract").⁵⁴ Accordingly, disputes over the meaning of service contracts, the

⁵³ See, e.g., *Fluence Energy. LLC v. M/V BBC Finland*, No. 3:21-cv-01239, 2024 WL 1310666 at *4 (S.D. Cal. Mar. 27, 2024) (28 U.S.C. § 1333 "vest[s] federal courts with exclusive jurisdiction over admiralty and maritime claims.") (citing *Ventura Packers, Inc. v. F/V Jeanine Kathleen*, 305 F.3d 913, 918 (9th Cir. 2002)); *NYK Line v. FIL Lines USA Inc.*, 977 F. Supp. 2d 343, 347 (S.D.N.Y. 2013) ("28 U.S.C. § 1333(1) provides original and exclusive federal court jurisdiction over '[a]ny civil case of admiralty or maritime jurisdiction.'" (alterations in original).

⁵⁴ In addition, see, among others, the following cases: *Shelter Forest International Acquisition, Inc. v. COSCO Shipping (USA) Inc.*, 475 F.Supp.3d 1171, (D. Oregon, 2020) ("the Service Contract is a maritime contract because the primary objective was the transportation of goods by sea"); *Sinotrans Container Lines Co. v. North China Cargo Service Inc.*, No. CV 06-7848, 2009 WL 10700621 at *3 (C.D. Cal. Feb. 3, 2009) ("[B]oth the Bills of Lading and the Service Contracts are maritime contracts."), aff'd, 380 F. App'x 588 (9th Cir. 2010); *Hapag-Lloyd v. Levy*, No. 2:20-cv-11155, 2021 WL 5630299 (D. NJ Dec. 1, 2021); *CMA CGM S.A. v. Leader Int'l Express Corp.*, 474 F.Supp.3d 807, 810 (E.D. Va 2020) ("litigation concerns a breach of a maritime contract ("service contract") between Leader, a non-vessel operating common carrier ("NVOCC"), and CMA, a vessel operating common carrier"); *Calchem Corp. v. Activsea USA*

application of their terms to the parties' conduct, and alleged breaches thereof, fall exclusively within the admiralty jurisdiction of the federal courts. See, *Zim Am. Integrated Shipping Servs. Co., LLC v. Sportswear Grp., LLC*, 550 F. Supp. 3d 57, 64 (S.D.N.Y. 2021).

Claims for breach of service contracts or bills of lading, including claims about detention and demurrage, are routinely handled by federal courts sitting in admiralty.⁵⁵ FMC jurisdiction over Count I is also precluded by 46 U.S.C. § 40502(f), discussed above, which, in accordance with the exclusive grant of admiralty jurisdiction to the federal courts, recognizes that claims sounding in breach of contract are for the courts, not the Commission. This is evidenced both by the legislative history and by a similar provision previously incorporated by Congress into the Interstate Commerce Act (ICA).

The Shipping Act, 1916 allowed carriers and shippers to use certain contracts for negotiated rates, but only if the contracts were *approved* by the FMC's predecessor. Pub. L. No. 356, Section 14b., 75 Stat. 762, 763 (October 3, 1961) ("Any contract...not permitted by the

LLC, No. CV-06-1585, 2007 WL 2127188, at *3 (E.D.N.Y. July 25, 2007) ("the bill of lading and the service contract are maritime contracts") *Zim Am. Integrated Shipping Servs. Co., LLC v. Sportswear Grp., LLC*, 550 F. Supp. 3d 57, 63 (S.D.N.Y. 2021); *NYK Line v. FIL Lines USA Inc.*, 977 F.Supp.2d 343, 348 (S.D.N.Y. 2013); *Saray Dokum Ve Madeni Aksam Sanayi Turizm A.S. v. MTS Logistics, Inc.*, No. 17 Civ. 7495, 2023 WL 5164211, at *8 (S.D.N.Y. Aug. 11, 2023); *BRM Trades LLC v. All-Ways Forwarding International, Inc.*, No. 21 CV 7151, 2022 WL 2788087, at *4 (S.D.N.Y. July 15, 2022); *Euro Trust Trading S.A. v. Allgrains U.K. Co.*, No. 09 Civ. 4483(GEL), 2009 WL2223581 at *4 (S.D.N.Y. July 27, 2009).

⁵⁵ See, e.g., *Ocean Transport Line, Inc. v. American Philippine Fiber Industries*, 743 F.2d 85 (2d Cir. 1984) (affirming district court's award of demurrage under admiralty jurisdiction); *Zim Am. Integrated Shipping Servs. Co., LLC v. Sportswear Grp., LLC*, 550 F. Supp. 3d 57, 64 (S.D.N.Y. 2021) (claims pertaining to detention and demurrage allegedly due under bills of lading are admiralty claims); *Hyundai Merchant Marine Co. Ltd. v. All New, Inc.*, No. CV 19-8858-GW-FFMx, 2020 WL 13590029 at *2 (C.D. Cal. Aug. 20, 2020) ("Demurrage claims clearly fall within the court's admiralty jurisdiction)(quoting from *Ocean Atlantic, Inc. v. Maersk Lines*, 740 F. Supp.1002, 1006 (S.D.N.Y. 1990); *FR. Meyers Sohn Canada Inc. v. Resource Utilization LLC*, 2024 WL 1509256 (S.D.N.Y. 2024); *Shelter Forest International Acquisition, Inc. v. COSCO Shipping (USA) Inc.*, 511 F. Supp.3d 1118 (D. Or. 2021); *A.P. Moller Maersk A/S v. Safewater Lines PVT, LTD*, 276 F. Supp.3d 700 (S.D. Tex. 2017); *Seaboard Marine, Ltd. v. Apache Sales, Inc.*, 2006 WL 8434118 at *3 (S.D. Fla 2006) (same).

Commission shall be unlawful, and contracts . . . shall be lawful only when and as long as permitted by the Commission.”). At that time, there was no need to address where such contracts could be enforced. In 1980, Congress substantially revised the ICA to de-regulate transportation thereunder. Congress directed disputes over contracts between carriers and their customers to the courts: “The exclusive remedy for any alleged breach of a contract entered into under this section shall be an action in an appropriate State court or United States district court, unless the parties otherwise agree.” Section 208(i)(2) Pub. L. No. 96-448, 94 Stat. 1909 (Oct. 14, 1980).

Just a few years later, in the Shipping Act of 1984’s sweeping changes (which repealed much of the 1916 Act), Congress made similar changes to ocean carriers’ and shippers’ freedom to contract and added a virtually identical provision about the exclusive judicial jurisdiction over claims stating breach of contract. Pub. L. No. 98-237, 98 Stat. at 88 (March 20, 1984). This limitation was retained and reaffirmed when Congress adopted the Ocean Shipping Reform Act of 1998, which further deregulated the use of service contracts. Pub. L. No. 105-258 (October 14, 1998). *See* S. Rep. 61, 105th Cong., 1st Sess., p. 23 (1997) (“[t]he bill would retain the 1984 Act provision providing that the exclusive remedy for a breach of a service contract is an appropriate court, ***not the FMC***”) (emphasis added).

The Interstate Commerce Act and the Shipping Acts have long been interpreted and applied *in pari materia*. *See, e.g. Sea-Land Serv., Inc. v. Murrey & Son's Co. Inc.*, 824 F.2d 740, 744 (9th Cir. 1987) (ICA and Shipping Act should be interpreted in tandem, because “the regulatory structure and purposes of the two Acts are substantially the same”) (citing *United States Navigation Co. v. Cunard S.S. Co.*, 284 U.S. 474, 481 (1932)).⁵⁶ Here, the provisions are virtually

⁵⁶ *North Atlantic Mediterranean Freight Conference - Rates on Household Goods*, 11 F.M.C. 202, 209 (1967) (“[i]t is well settled that the provisions of the Shipping Act closely parallel those of the Interstate Commerce Act . . . and where dissimilarities in the respective modes of transportation

identical. Hence, experience with the ICA is highly relevant in understanding what Congress intended when it added what is now 49 U.S.C. § 14101(b)(2).

It has been consistently held that the Interstate Commerce Commission (“ICC”) (and its successor, the Surface Transportation Board (“STB”)) lacks jurisdiction over breaches of contract. See, e.g., *Cleveland-Cliffs Iron Co. v. I. C. C.*, 664 F.2d 568, 592 (6th Cir. 1981); *H.B. Fuller Co.*, 2 S.T.B. 550 (1997); *Detroit, Toledo & Ironton R. Co. v. Consol. Rail Corp.*, 727 F.2d 1391, 1397 (6th Cir. 1984). Regarding disputes over compliance with service contract terms, the Presiding Officer has tended to disagree with the express language of 46 U.S.C. § 40502(f), essentially holding that as long as a complainant omits the precise phrase “breach of contract” and substitutes a reference to the Shipping Act, the mandate of 46 U.S.C. § 40502(f) need not be considered. We raise the matter here to exhaust administrative remedies so that we may prevail before the Commission or, more certainly, the court of appeals.

The position previously taken by the Presiding Officer cannot possibly be correct as it renders 46 U.S.C. § 40502(f) entirely superfluous and meaningless. As Count I of the Complaint illustrates, there is no possible claim of contract breach that cannot be recast into a claim that the very same alleged failure to comply with the terms and conditions of a service contract violates one or more provisions of the Shipping Act. Accepting that position would ignore congressional intent⁵⁷ and would also be directly contrary to the Commission’s statement that: “For Section 8(c) [the same provision prior to codification] to have meaning, ***it must have been intended to preclude***

do not warrant a different construction, the Shipping Act should be construed in light of the similar provisions of the Interstate Commerce Act”), modified on appeal, 409 F.2d 1258 (2d Cir. 1969).

⁵⁷ As the Commission explained in *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1220 (FMC 1990) “Courts have made it clear that federal agencies must give effect to every word of as statute so that no part will be rendered inoperative, superfluous, void or insignificant.” See, e.g., *National Association of Recycling Industries, Inc. v. ICC*, 660 F.2d 795, 799 (D.C. Cir. 1981); *In re Surface Mining Regulation Litigation*, 627 F.2d 1346, 1362 (D.C. Cir. 1980).

the filing of some complaints of Shipping Act violations, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event.” *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1644 (FMC 2000) (emphasis added). Indeed, “[A]llegations *essentially comprising* contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim.” *Id.* at 1645 (emphasis added). Thus, a would-be complainant cannot jurisdiction shop the exact same claim just by using the term “breach of contract” or “violation of the Shipping Act” for the same conduct. As explained in *Cargo One*, the bar of 46 U.S.C. § 40502(f) applies not just when the complaint expressly states the words “breach of contract,” but also when the “allegations essentially compris[e] contract law claims.” *Id.* Complainant has not even attempted to rebut the presumption set out in *Cargo One*.

It is clear beyond peradventure that although BBY has dressed Count I up in the guise of a Shipping Act claim, it is nothing more than a garden variety breach of contract claim alleging failures by OOCL to meet its *contractual* service commitments. Complainant allegations sound in contract, including the following non-exhaustive examples from just the first few pages:

- “[F]alling short on their service commitments.” Complainant’s Brief at 1.
- “[V]iolate their service commitments.” Complainant’s Brief at 2.
- “OOCL failed to meet its service commitments,” Complainant’s Brief at 3.
- “OOCL’s practices described above were inconsistent with the terms and OOCL’s service commitments in its Service Contracts with BBY.” Complainant’s Brief at 4.

E. Count I fails to state a claim under §41102(c) (pertaining to space allocation)

As stated above, the gravamen of Complainant's Count I is that Respondents violated 46 U.S.C. § 41102(c), by failing to meet their service commitments to BBBY under specified service contracts. Even if the Commission had jurisdiction over such a dispute, which it does not, Count I, and the Complainant's Brief fail to state a claim under that provision pertaining to space allocation.

Over eight decades of Commission precedent holds that 46 U.S.C. § 41102(c) **does not** apply to space allocations and rates under service contracts. Those are “transportation” functions and do not come within the 46 U.S.C. § 41102(c) limitation to “regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”⁵⁸

46 U.S.C. § 41102(c) (known prior to the codification of the Shipping Act as Section 10(d)(1) of the Shipping Act of 1984, and before that, as Section 17 (second paragraph) of the Shipping Act, 1916) applies by its terms only to disputes “relating to or connected with receiving, handling, storing, or delivering property.” Count I, pertaining to space allocation aboard ship, does not involve “receiving, handling, storing, or delivering property” Rather, BBBY's claim is that OOCL did not provide all of the space to which BBBY was allegedly entitled under the service contracts. This, as the FMC has long and uniformly held, however, is a “transportation” function, not “receiving, handling, storing, or delivering property.”

The Commission's understanding as to the difference between the transportation function and those of receiving, handling, storing, or delivering property dates back to at least 1939 in the case precedents we have identified. In *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2

⁵⁸ Further, “practice” has to be “normal and customary policy.” FMC Docket No. 23-08, Mediterranean Shipping Company, S.A. – Possible Violations of the Shipping Act, 46 U.S.C. 41102(C), 40501, and 41104(A)(2)(a) (I.D. 2025) (Slip op. at 26) (“practice” is not an isolated error but a policy). There was nothing normal about the 2020-2022 shipping years. Nevertheless, OOCL met its container space commitments under the 2020 and 2021 service contracts. See RPF 576-618.

U.S.M.C. 106, 113-14 (1939) (emphasis added), for example, the Commission explained that Section 17 of the Shipping Act 1916, second paragraph, the predecessor to 46 U.S.C. § 41102(c), “relates to services performed at the terminal *as distinguished from the carrying or transporting by the vessel.*” Subsequently, in *Bills of Lading - Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (1949) (emphasis added), the Commission emphasized that 46 U.S.C. 41102(c) “is confined to the receiving, handling, storing, or delivering of property *to the exclusion of transportation and rates, fares, and charges in connection therewith.*”⁵⁹ To like effect, in *Time Limit on the Filing of Over Charge Claims*, 10 F.M.C. 1, 7 (1966) (emphasis added), the Commission stated categorically that (pre-codification) 46 U.S.C. § 41102(c) “relates only to practices relating to or connected with the receiving handling storing or delivering of property and *its application has thus been confined to forwarding⁶⁰ and terminal operations.*”

In *D.I. Piazza Co. v. West Coast Line, Inc.*, 3 F.M.C. 608, 616 (1951) (emphasis added), the Commission expressly held that 46 U.S.C. § 41102(c) does not apply to matters relating to vessel space, and in particular to allocating space assertedly reserved for the complainant to other customers instead. This, the Commission held, “was not a practice connected with the handling storing or delivering of property within the statutory language . . .” Similarly, in *Beaumont Port Commission v. Seatrain*, 3 F.M.B. 556, 561 (1951) the Commission stated:

[W]e have no difficulty in holding in respect to charge 3 [that “equalization rates constitute unjust or unreasonable regulations or practices connected with the receiving handling storing or delivering of property in violation of section 17(2) of the Act”] that respondent’s equalization practice *is not* a regulation or practice connected with the receiving handling storing or delivering of property within the meaning of section 17(2) of the Act The *rates* under the circular to be sure include charges for services at the receiving and at the delivering end of the voyage as is

⁵⁹ In support of this conclusion, the Commission also noted that the statutory language regarding foreign commerce was more circumscribed than that pertaining to domestic commerce. *Id.*

⁶⁰ This reference (and other references) to forwarding services are noted because they relate to the Presiding Officer’s former error in conflating forwarding services with ocean transportation and forwarding fees with common carrier rates.

true generally of freight rates of water carriers If we were to say that such incidental element in the rates gave us full jurisdiction to enforce reasonable rates for carriers in foreign commerce we should be disregarding the difference of our authority over such carrier under sections 16 and 17 of the Act from our jurisdiction over certain offshore carriers in interstate commerce where under section 18 of the Act as amended we are authorized to enforce reasonable rates.

Although the Commission's interpretation of 46 U.S.C. § 41102(c) as applying only to terminal and forwarding practices originated under the 1916 Act, it was imported untouched into the 1984 Act. In *Definition of Package*, 23 S.R.R. 111, 114 (1985) (emphasis added), where the Commission stated: "Section 17 of the 1916 Act and Section 10(d)(1) of the 1984 Act deal with 'just and reasonable regulations and practices' relating to the 'receiving, handling, storing, or delivery of property' Sections 17 and 10(d)(1) ***do not empower the Commission to address unjust or unreasonable carrier activity that relates to the transportation of property . . .*** They address only activities which occur before or after the water transportation." Likewise, in *ANERA and Its Members - Opting Out of Service Contracts*, 28 S.R.R. 1215, 1229 (FMC 1999), the Commission expressly declined to address an alleged violation of Section 10(d)(1) relating to rates, stating that the respondents had made a "forceful case that the practices at issue here – the service contract provisions stating line haul rates – do not come within that section's limitation to the functions of receiving, handling, storing, and delivering cargo."

In sum, the Commission's own interpretation of 46 U.S.C. § 41102(c) conclusively shows that this section of the Shipping Act does not endow the Commission with subject matter jurisdiction to adjudicate BBY's claim that OOCL failed to provide BBY with vessel space.

Further, as noted above, Congress in 1984 specifically removed the FMC's authority to address claims that a carrier breached its service contract with a shipper. It defies congressional intent and precedent, and violates the major-question doctrine, to say that the Commission can

evade a congressional mandate by creatively re-engineering another section of the Shipping Act to perform the function that Congress withdrew from the FMC's purview.

The Complainant's Brief does not address *any of* these cases. Instead, Complainant relies on the Presiding Officer's former suggestion, in the [Partial Order] that 46 U.S.C. § 41102(c) extends to rates (and presumably space allocation). But BBY fails to mention its prior stance that the Presiding Officer did not decide anything when she denied Complainant's Motion to strike three of OOCL's affirmative defenses. In response to the November 9, 2024, Order Denying Respondent's Motion for Reconsideration or Leave to Appeal, BBY argued:

“the Order does not make any final determinations regarding the parties' claims or defenses;” the “Order repeatedly and explicitly states that it has not made any final decision on the rights of the parties; . . .”

The Presiding Officer agreed, stating that her prior order was issued “from an unusual procedural posture, essentially putting the cart before the horse, by being asked to rule on whether certain defenses should be decided in Complainant's favor during the early stages of the proceeding, before discovery is completed or the case in chief is presented.” She emphasized:

Respondents are not prejudiced by an order that does not finally resolve any issues except finding that they may raise all of their defenses. To the extent that Respondents disagree with the legal analysis, they will have another opportunity to address those issues when they file their briefs.

And:

[A]fter discovery, [Respondents] will have another opportunity to raise any legal or factual issues that should be considered prior to issuing an initial decision. The Order specifically retained Respondents' ability to more fully brief the issues . . .

Although BBY does not address these critical cases, it does cite two, recent decisions of the Presiding Officer. Neither of them serves to overrule or distinguish the Commission precedent discussed above.

First, BBY cites *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05 (Initial Decision on Default, Jan. 13, 2023; affirmed in part, Jan. 3, 2024; affirmed on remand, July 16, 2024) (appeal now pending before the D.C. Circuit, No. 24-1007). That case does not apply for at least three reasons:

1. As BBY acknowledges, the *MCS* decision was decided on default, so not fully briefed and not suitable as precedent for why this proceeding should not be decided on a full record.
2. *MCS* does not mention the cases cited above, so cannot be taken either to overrule or distinguish them. We assume that is because the precedents were not adequately brought to the Presiding Officer's attention.
3. As noted above, it would be administratively unwise to depend on *MCS* and other mid-stream proceedings that currently are under review by the Court of Appeals.

Second, the only other case BBY cites – *OJ Commerce v. Hamburg Süd*, 2022 WL 538935 (ALJ 2022) – is equally unavailing, for similar reasons. As with *MCS*, the opinion in *OJ Commerce* does not address either the cases cited above or the long-term Commission interpretation that they reflect. Further, the holding in *OJ Commerce* was much narrower than the Presiding Officer has thus far applied it.

As demonstrated in Respondent's Preliminary Statement, above, and expanded here, the Presiding Officer respectfully misread the case law and confused forwarding with ocean transportation and freight rates with forwarding fees.

The Commission has consistently held (from at least 1939 to date) that § 41102(c) (under current and predecessor statutes) **does not** apply to the "transportation function" of ocean common carriers but instead is limited to their terminal functions and forwarding activities. The Presiding Officer's extraordinary suggestion that § 41102(c) is not limited to port, shoreside and forwarding functions is unprecedented, and would give the Commission unbounded authority over any and all

of an ocean common carrier's operations or dealings. This was plainly not Congress' intent and far exceeds the agency's authority under the major-question doctrine and Supreme Court precedent.

The Presiding Officer's previous suggestion that "shipping rates may be considered part of receiving, handling, storing, or delivering property" was based entirely on a misunderstanding of a single D.C. Circuit decision: *National Customs Brokers & Forwarders Association of America, Inc. v. United States*, 883 F.2d 93, 98-99 (D.C. Cir. 1989) ("NCBFAA"). But as previously noted, that case ***was not about ocean common carrier rates or practices*** and said nothing to support the Presiding Officer's conclusion.

The *NCBFAA* case was not about "rates" or "ocean common carriers," but about "freight forwarders" and their "fees." The block quote states that the dispute was over "fee arrangements for forwarding services preliminary to an actual shipment." As this quote demonstrates, the opinion was about: (i) "forwarding services" provided "preliminary to an actual shipment," ***not*** about ocean transportation, and (ii), fees assessed by forwarders for landside services, ***not*** rates, practices, or services for ocean transportation. Forwarding services, unlike ocean transportation, have always been considered within the Commission's authority under 46 U.S.C. § 41102(c) and its predecessors, Section 17 (second paragraph).

Nor does the D.C. Circuit's reference to Supreme Court precedent alter matters. The Court's decision was ***specifically limited to freight forwarders***, not ocean carriers. As the block quote states: "In *United States v. American Union Transport*, 327 U.S. 437 (1946), the Supreme Court recognized broad Commission authority to regulate ***forwarders***." The quotation to the Supreme Court's opinion states: "By the nature of their business, independent ***forwarders*** are intimately connected with" the activities listed under section 17, that is, "the receiving, handling, storing or delivering of property." 883 F.2d at 99 (emphasis added). As the Commission's own

regulations confirm, freight forwarders do not *provide transportation*, but rather ancillary administrative services. It is that difference in business activity that explains why, for example, DD charges can be regulated under this provision—because DD may be charged by forwarders—but carriage terms of service contracts may not—because *forwarders do not carry cargo*.

F. Procedural Due Process Violations: The Denial of a Hearing Violates the Administrative Procedure Act and the Presiding Officer is not Constitutionally Authorized to Adjudicate the Claims Presented

Due to the legal constraints on the removal of FMC administrative law judges, proceedings heard by FMC ALJs, including the instant proceeding, are constitutionally defective. 5 U.S.C. § 7521(1); 5 U.S.C. § 1202(d); 46 U.S.C. § 46101(b)(5). Accordingly, this proceeding should be stayed until the Commission and Congress modify the applicable removal standards for officers presiding over FMC adjudicative proceedings.

The Take Care Clause in Article II of the Constitution authorizes the President to appoint officers and inferior officers of the United States. U.S. Const. Art. II, § 2. ALJs are inferior officers of executive agencies. *Lucia v. SEC*, 585 U.S. 237, 238 (U.S. 2018); *Fleming v. United States Dep’t of Agric.*, 987 F.3d 1093, 1103 (D.C. Cir. 2021). Because inferior officers play a significant role in executing the laws of agencies, it is crucial that the President is able to exercise authority over them. *Jarkesy v. SEC*, 34 F.4th 446, 464 (5th Cir. 2022).

Subject to the procedures and review of the Commission, FMC ALJs render adjudicatory decisions, have the power to regulate the presentation of evidence, issue opinions evaluating that evidence, and make other substantive and procedural decisions. 46 C.F.R. §§ 501.3(e), 502.25(b), 502.227. As inferior officers, however, FMC ALJs have multiple tiers of job protection. 5 U.S.C. § 7521(1); 5 U.S.C. § 1202(d); 46 U.S.C. § 46101(b)(5). *See also Lucia*, 584 U.S. at 238. First, ALJs can only be fired by the FMC for good cause, as determined by the Merit Systems Protection Board (“MSPB”) on the record after a hearing. 5 U.S.C. § 7521(1). Moreover, the President can

only remove MSPB officers due to “inefficiency, neglect of duty, or malfeasance in office,” and can only remove FMC officers for the same reasons. 5 U.S.C. § 1202(d); 46 U.S.C. § 46101(b)(5).

There is extensive authority holding these type of removal protections to be unconstitutional. *See, Free Enter. Fund v. Public Co. Accounting Oversight Bd.*, 561 U.S. 477 (2010); *Jarkesy*, 34 F.4th 446; *see also VHS Acquisition Subsidiary No. 7 v. NLRB*, 2024 WL 5056358 (D.D.C. 2024); *Energy Transfer, LP v. NLRB*, 2024 WL 3571494 (S.D. Tex. 2024); *Space Exploration Technologies Corp. v. NLRB*, 2024 WL 3512082 (W.D. Tex. 2024); *Aunt Bertha v. NLRB*, 2024 WL 4202383 (N.D. Tex. 2024).

Most notably, the Fifth Circuit has held that the statutory removal restrictions for SEC ALJs are unconstitutional. *Jarkesy*, 34 F.4th at 463, *aff’d on other grounds*, 144 S. Ct. 2117 (2024). The Fifth Circuit acknowledged the multi-layered protections of ALJs from the SEC, MSPB, and President. *Id.* The circuit court emphasized the SEC ALJs’ substantial authority over administrative case records, noting that ALJs controlled the “presentation and admission of evidence,” had the ability to punish “contemptuous conduct,” and often gave final and binding decisions. *Id.* at 464.

Multiple federal district courts have followed suit, in some cases enjoining administrative proceedings. *See VHS Acquisition Subsidiary No. 7*, 2024 WL 5056358 (D.D.C. 2024) (holding that removal restrictions for NLRB ALJs are unconstitutional); *Energy Transfer, LP*, 2024 WL 3571494 (S.D. Tex. 2024) (entering a preliminary injunction against the NLRB); *Space Exploration Technologies Corp.*, 2024 WL 3512082 (W.D. Tex. 2024) (finding a substantial likelihood that SpaceX would succeed on the merits in showing that NLRB ALJ protections are unconstitutional); *Aunt Bertha*, 2024 W 4202383 (N.D. Tex. 2024) (entering a preliminary injunction because of the unconstitutionality of two layers of for-cause removal protections).

The reasoning in *Jarkesy*, and other federal district courts, shows the constitutional flaws in FMC proceedings. Like SEC ALJs, and as inferior officers, FMC ALJs have multiple tiers of job protection from the MSPB and President. 5 U.S.C. § 7521(1); 5 U.S.C. § 1202(d); 46 U.S.C. § 46101(b)(5). Like SEC ALJs, FMC ALJs have the authority to issue decisions that become final, manage evidentiary matters, and penalize parties for contempt. 46 C.F.R. § 502.25(b) (2025). *Jarkesy*, 34 F.4th at 464. In effect, FMC ALJs execute laws without restrictions and without adequate supervising authority, in violation of the Take Care Clause. U.S. Const. Art. II, § 2.

The circuits vary in their approaches and outcome relating to constitutional defectiveness of ALJ removal authority. *See Calcutt v. FDIC*, 37 F.4th 293 (6th Cir. 2022); *Rabadi v. U.S. Drug Enf't Admin.*, 122 F.4th 371 (9th Cir. 2024); *Leachco, Inc. v. Consumer Prod. Safety Comm'n*, 103 F.4th 748, 763 (10th Cir. 2024).

In *Calcutt*, the Sixth Circuit held that removal restrictions for ALJs at the Federal Deposit Insurance Corporation (“FDIC”) did not violate the constitutional separation of power, in part because FDIC ALJs only issue recommended decisions, while the agency’s Board issues final decisions. *Calcutt*, 37 F.4th at 302 (citing 12 C.F.R. § 308.40). Of course, FMC ALJs have the authority to issue initial decisions that become final unless the Commission reviews the decision after party request or *sua sponte*. 4 C.F.R. §§ 502.223; 502.227(a)(3).

The Ninth and Tenth Circuits have also addressed the constitutionality of removal procedures for Drug Enforcement Administration (“DEA”) and Consumer Product Safety Commission (“CPSC”) ALJs, respectively. *Rabadi*, 122 F.4th 371; *Leachco*, 103 F.4th 748, 763. In *Rabadi*, the Ninth Circuit held that because the decisions of DEA ALJs are subject to mandatory review by the DEA Administrator and the President can “control” DEA ALJs through the DEA Administrator, who is removable at will, removal protections for DEA ALJs are constitutional.

However, the holding in *Rabadi* does not apply to FMC ALJs because FMC proceedings are not subject to mandatory review by the Commission, and Commission members are not removable at will. 5 U.S.C. § 7521(1); 5 U.S.C. § 1202(d); 46 U.S.C. § 46101(b)(5).

In *Leachco*, the Tenth Circuit held that restrictions on the removal of CPSC ALJs were constitutional in part because CPSC ALJs performed exclusively “adjudicatory” roles. 103 F.4th at 764. The ruling is an outlier, failing to acknowledge that the adjudicative power of government agencies is nonetheless an extension of executive power. See *VHS Acquisition Subsidiary No. 7.*, 2024 WL 5056358, at *7 (maintaining that, even if ALJs perform exclusively adjudicatory duties, these duties are nonetheless an exercise of executive power under the Constitution (referencing *City of Arlington, Tex. v. F.C.C.*, 569 U.S. 290, 304 n.4 (2013))). FMC ALJ adjudicative powers do not limit their function as members of the executive branch. In contrast, they confirm both the substantial authority that ALJs have on FMC proceedings and their incompatibility with constitutional separation of powers under Article II. U.S. Const. Art. II, § 2.

Procedurally, OOCL objects to the failure to conduct a trial, which constitutes a denial of due process and makes it impossible for the Presiding Officer to assess the credibility of witnesses. The FMC’s regulations specifically provide for an oral hearing before a presiding officer, either the ALJ or the Commission. 5 U.S.C. 552; 46 U.S.C. 41302; 46 CFR 502.201. The Office of the Administrative Law Judges has effectively abolished the right to hearing. 5 U.S.C. 552.

CONCLUSION

For the reasons stated above, Respondents respectfully request the Presiding Officer deny Complainant’s Claims in their entirety and grant such other relief as may be just and appropriate.

Dated: February 27, 2025

Respectfully submitted,

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